ANNUAL REPORT 2010

His Highness
Sheikh Khalifa Bin Zayed Al Nahyan

President of the United Arab Emirates



General Sheikh Mohammad Bin Zayed Al Nahyan

Abu Dhabi Crown Prince

Deputy Supreme Commander of the U.A.E. Armed Forces





His Highness Sheikh Hazza Bin Zayed Al Nahyan

Chairman

First Gulf Bank



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Board of Directors

H.H. Sheikh Hazza Bin Zayed Al Nahyan	Chairman
H.H. Sheikh Tahnoon Bin Zayed Al Nahyan	Vice Chairman
Abdulhamid Mohammad Saeed	Board Member & Managing Director
Ahmed Ali Al Sayegh	Board Member
Khaldoon Khalifa Al Mubarak	Board Member
Khadem Abdulla Al Qubaisi	Board Member
Sultan Khalfan Sultan Alktebi	Board Member



Chairman's Report



On behalf of the Board of Directors, I am pleased to share with you the significant progress we have made on our journey towards achieving our goals in 2010.

In 2010, the UAE economy was more sustainable compared to the economic slowdown in 2009, due to stability in various service sectors. The government diversification strategy has also helped to slightly boost the output of the industrial sector.

We have also experienced strong measures taken by the UAE Central Bank to ensure adequate liquidity and capital in the financial system, that resulted in greater transparency and robust financial system.

2010 has revealed a successful financial performance for First Gulf Bank, due to our focused growth strategy in potential business segments, while maintaining flexibility and efficiency in our operations.

First Gulf Bank has also focused on maintaining a strong balance sheet, through optimum liquidity, efficient asset allocation and diversified funding.

Today First Gulf Bank is a leader in the UAE financial market and we will continue on growing the local market share, by growing our customer base. We will also continue focusing on establishing market share in international markets through our international operations.

The Board of Directors is focused on maximizing the shareholder benefits by maintaining the same dividend policy and by focusing on earnings per share and by distributing the shares in our buyback share program. The Board of Directors acknowledge the great success of the bank in 2010, and are pleased to recommend the distribution of 60 per cent cash dividend to shareholders over and above the distribution of 75 million bonus shares to the shareholders.

I would like to take this opportunity to express my gratitude to the President His Highness Sheikh Khalifa Bin Zayed Al Nahyan for his guidance, His Highness Sheikh Mohammed Bin Rashid Al Maktoum, Vice President, Prime Minister and Ruler of Dubai, Their Highnesses, members of the Supreme Council, and His Highness Sheikh Mohammed Bin Zayed Al Nahyan, Crown Prince of Abu Dhabi for their support.

I would also like to extend my thanks to all our shareholders, customers, correspondent banks, and all staff at the Central bank of the UAE for their continued help and support to First Gulf Bank.

Finally I would like to thank all Board Members, the management team and the staff for their commitment, dedication and the will to do better year after year and to congratulate them for another year of all round success.



Hazza Bin Zayed Al Nahyan
Chairman



Managing Director's Report

Dear Shareholders,

The global economy continued its journey to recovery in 2010 and it is evident that the recovery was quite positive restoring a degree of confidence in the market. We also notice a global progress in strengthening the banking sector. Today, capitalization, liquidity, and strong balance sheet have been the focus of the global banking regulators as well as the local regulators to ensure resilience in the banking sector. This has certainly restored positive confidence in the banking sector in the UAE.

First Gulf Bank remains one of the largest leading banks in the UAE being awarded as the "Bank of the Year" in the UAE in the last two years. With our continued focus on expanding and growing the business, we have achieved positive financial results in 2010 ending the year with a net profit of AED 3.4 billion. We not only have achieved good financial results but we have also achieved our goals in terms of maintaining strong liquidity and capitalization.

The core business in the UAE remains to be the key driver of our profitability and our global expansion strategy has been very successful. We continued investing in our subsidiary businesses and maintained the momentum and balance to achieve both balance sheet size and profits. Our capital position has enabled us to grow our business in assets, loans, and investments, and we continued to maintain strong returns on equity. The bank's effective risk management mechanism and a well-diversified business model have provided the flexibility to maneuver and improvise business plans as per the prevailing market conditions.

During this past year we focused on strengthening core business and maximizing shareholders return. FGB's equity by end of 2010 was in excess of AED 24 billion, 7 per cent higher than the previous year. The return on average equity stands at 14.7 per cent and return on average asset is 2.6 per cent, positioning the bank among the select few institutions with high return ratios achieved in the Gulf. The rating of A+ by Fitch has further demonstrates the bank's strong financial position. The bank's divisions turned in a solid performance and businesses in the area of Islamic banking, brokerage, real estate and corporate banking.

The two year share buy-back program ended successfully resulting in an overall improvement in liquidity and shareholders' value. Furthermore, the board has decided to improve on the shareholders' equity return by distributing the number of shares in the buy-back program as bonus shares. This strategy has reflected positively on our position in the market.

With over 30 years of banking expertise, our vision at First Gulf Bank is to build a world-class financial services business, and we will continue to build stable business activities, maintaining strong leadership position and competitive edge. The bank's healthy balance sheet allows us to invest further in profit-generating businesses.

We at First Gulf Bank remain very confident of our business model and sustained success in the future, and are well-equipped to capitalize up on the opportunities presented in 2011.

I have complete confidence in a prosperous and outstanding FGB's performance in the future, taking it one step further to be a world-class player.

Abdul Hamid Saeed
Managing Director

CEO's Report

Dear Stakeholders,

The year 2010 can be viewed as the culmination of many measures undertaken by governments across the globe that put the global economy back on track. In the GCC region, the strength of the economic recovery was largely underpinned by the rebound in oil prices, in addition, a sizable and rapid fiscal policy response played a substantial role in supporting the non-oil sector in these economies. With oil prices expected to stay at strong levels, GCC public finances will remain strong, despite increased government spending and this bodes well for the future. The domestic credit growth in the region has been mixed, largely due to muted private sector demand and banks exercising caution in the face of rising NPLs. However, with healthy growth outlook, credit growth is expected to pick up in 2011.

2010 in Review

First Gulf Bank (First Gulf Bank) has had another successful year with record profits as we continued to enhance our financial strength during the year. Our strategy was simple, we wanted to grow our core businesses in the UAE and certain select geographies and we wanted to complement this growth with selective diversification. While pursuing selective growth, we ensured that our risk-bearing capacity in the form of capital strength and liquidity position stayed strong.

During the year, bank's total operating income reached AED 6.3 billion; income from the core banking activities increased by 11 per cent to AED 5.9 billion, net interest income and income from Islamic financing for the year 2010 increased by 11 percent to AED 4.26 billion. The bank recorded a net profit of AED 3.420 billion for the year, an increase of 3 per cent over 2009 net profits and bank's assets grew by 12 per cent to reach AED 140.8 billion by year end 2010. Our shareholder's equity of AED 24.6 billion with a capital adequacy ratio of 22.9 per cent illustrates the point that the bank today rests on a solid foundation, poised to achieve our goal of sustained profitability. The balance sheet by end of year 2010 showed a comfortable liquidity position with liquid assets ratio increasing to 13.4 per cent up from 8.1 per cent at the end of 2009. The loan to deposit ratio was at 96.8 per cent by the end of 2010, as compared to 104.6 per cent by end of 2009. During the fourth quarter of 2010, the bank adopted the new UAE Central Bank circular on regulations for classifications of loans and determining their provisions. Accordingly, the bank started applying the 90 days overdue rule on its NPL portfolio and applying its general provision as per the new requirements of the circular. By the end of 2010, the NPLs to gross loans ratio stood at 3.7 per cent and the provision coverage ratio stood at 89.4 per cent. The bank continued to maintain a strong control over its expenses, reflected in a cost to income ratio of 17.8 per cent in 2010.

In 2010, First Gulf Bank was named "Bank of the Year, UAE" for the second consecutive year, reflecting the continuous success and the strength which the First Gulf Bank franchise enjoys.

The Business Groups

Corporate Banking Group

2010 was another successful year for the Corporate Banking Group (CBG); the theme of the year was consolidation of the portfolio and generation of efficiencies within the portfolio to grow the bottom line. Accordingly, CBG recorded a net profit of AED 1.48 billion an increase of 58per cent over 2009 net profits for the segment. CBG's focus during 2010 was also to ensure the continuous growth in deposit base as well as managing the quality of asset base, which necessitated taking a conservative and therefore prudent approach to business. Notwithstanding the many regulatory changes and a tough environment, CBG was still able to deliver a solid financial performance. Going forward, we will continue to target and identify quality clients with strong risk profiles in order to further strengthen, broaden and diversify our customer base.

In 2010, Corporate Banking has also launched a new initiative of bringing the bank direct to the customer by launching "FirstValue," First Gulf Bank's new Remote Cheque Deposit service for the corporate customers. FirstValue is a path breaking service introduced for the first time in the GCC region by First Gulf Bank. FirstValue enables the corporate customers to digitally scan all their collections cheques remotely from their office premises at their convenience through a fast and secure method of cheque deposit.

Financial Institutions

Financial Institutions Division (FI) continued its strong performance in 2010 with coverage of more than 375 active correspondent banking relationships supporting First Gulf Bank's treasury, corporate banking and trade finance activities. During 2010, FI raised around AED 5 billion in medium-term liquidity through deposits and bilateral loans from banks. The division was also able to generate non-funded business of AED 10.5 billion during the year.

Islamic Syndications

In 2010, Islamic Syndications unit continued to deliver strong results, defying unfavorable market conditions. During 2010, First Gulf Bank played a key role in a land mark Islamic Syndicated Facility of over AED 1.5 billion for a well-reputed local organization. The unit also contributed in generating sizeable customer deposits.

Private Banking Group

2010 was an immensely successful year for the Private Banking Group (PBG) which comprises of large corporate/individual and HNWI accounts. The group contributed significantly towards mobilization of deposits. Deposits of AED 24.94 billion out of the bank's total deposit of AED 98.56 billion were managed by the group. The group also made substantial contribution towards the asset growth and growth in fee-based income for the bank. With a vision to create a sophisticated banking system, the PBG has undertaken key implementations in the form of Wage Protection System (WPS) and UAE Funds Transfer Systems (UAEFTS), in addition to other automations in the area of cross currency payments.

Retail Banking Group

Retail Banking Group (RBG) continued its focus on delivering strong financial results in the year 2010. Despite the challenging operating and regulatory environment, RBG contributed AED 1.5 billion to First Gulf Bank's bottom line, an increase of 18 per cent year-on-year along with an asset growth from AED 27 billion to AED 33 billion.

During the year, RBG was largely focused on mobilizing deposits, strengthening customer relationships and launching innovative products. RBG launched a unique savings program "Emirati Al Awwal" exclusively for UAE nationals. First Gulf Bank continues to serve the local community by providing specialized services for the Abu Dhabi Department of Finance's interest-free National Housing Loan (NHL). To date, we have disbursed approximately AED 10.6 billion in loans to UAE nationals.

2010 has been a year of innovation for card business, starting with launching the "Abu Dhabi Card" a product which enables customers to fulfill their wishes by becoming a part of related awards worth AED 6 million. Another innovation has been in the field of eCommerce transactions, with First Gulf Bank being one of the first few issuers in the region to launch 3D secure technology to reduce online fraud.

Treasury & Investments

Our Treasury and Investment Divisions continued to make significant contributions to the Bank's bottom-line adding AED 377 million for the year 2010. Treasury made significant progress on several fronts against a backdrop of tumultuous events and developments in the global economy. Treasury was successful in managing a strong liquidity position, adequately funding gaps and overall achieving a healthy balance sheet. Significant strides were also made in the Corporate Forex area where Treasury Marketing Unit was created to focus on client forex requirements and hedges.

The Investment Division also made significant progress in terms of diversifying Bank's proprietary investment portfolio. Under extremely volatile market conditions, the division managed proprietary capital with utmost caution in order to protect the interests of shareholders and investors. First Gulf Bank's strong risk management framework ensures that parameters set for different products, including stop loss and take profits, are strictly complied with. The investment team manages two external funds namely Al Saqer Fund and FGCM- Alternative Investment Certificates.

International Banking Group

As a part of our strategy we have also been focusing on establishing firm foothold in select high growth markets in order to tap the increasing trade potential between these countries and the UAE. 2010 has been another stellar year for International Business Group (IBG), with all our international locations positively contributing to the bottom line, along our Singapore branch and our representative offices in Qatar and India IBG has also joined IFC Global Trade Finance Program as a Confirming Bank, which will allow First Gulf Bank to expand its capacity in promoting private trade flows in the emerging markets.

Subsidiaries and Associates

Our real estate investment subsidiary, Mismak had a relatively successful year demonstrating positive bottom line in 2010. In spite of some concerns in the Real Estate market. We remain committed to these businesses and are hopeful of a substantial contribution from this line in the near future.

Aseel, our Islamic mortgage service company, continued with its strategy of controlled growth with focus on the Abu Dhabi market and ended the year with a positive bottom line.

Our brokerage subsidiary, First Gulf Financial Services (FGFS) has been providing and supporting its customers with a full range of local equities brokerage services on all the three markets (DFM, ADX and DIFX.)

Other Groups

Enterprise Risk Management Group

We firmly believe that an effective enterprise wide risk management is of primary importance to our success; it is the key to effectively protecting and growing returns for all our stakeholders. Accordingly, we have set up a comprehensive enterprise risk management framework that spans all our businesses including subsidiaries, associates and foreign offices. A well-established risk governance and ownership structure ensures oversight and accountability of the effectiveness of the management of risk at First Gulf Bank. Under authority delegated by the Board of Directors, the Risk and Compliance Management Committee, formulates high-level enterprise risk management policy, exercises delegated risk authorities and oversees the implementation of risk management framework and controls.

The Risk management framework at First Gulf Bank is compliant with the Basel II accord and the bank has successfully implemented the Basel II – Pillar I, Pillar II and Pillar III principles. The Bank is now in the process of moving towards advanced approaches of Basel II and implementation of Basel III.

Business Support Group IT

In line with its vision to provide the customer with best banking services, First Gulf Bank has continued to invest in Information Technology at both strategic and tactical level. During the year, we have invested in strategic systems by implementing enhanced Compliance Management systems, Business Process Management Systems (BPMS) in select operational and customer service areas, enhanced Call Center systems, Remote Cheque Deposit System, Document Management System, etc. We have also improved various channel offerings to our customers through our NetBanking, SMS, IVR and other channel services. On the infrastructure front, we have further strengthened the disaster recovery setup by adding more systems that can be made operational in the event of a disaster.

CISO

Chief Information Security Office has been mandated by the bank to formulate policies and procedure to protect the information assets of the bank. CISO office works closely with Information Technology and other business units for the implement of various controls related to people, process and technology. Bank was successfully re-certified for ISO/IEC 27001:2005 information security standard certification in 2010 including the digital and non digital assets of the Bank across all branches and offices in UAE.

Human Resources

Over the past many years, First Gulf Bank has been among the favourite employers in the region. We believe this has been achieved on account of our staff-centric strategy and the implementation of various employee development measures. In order to further strengthen our staff policies, a new strategic business initiative, WEFIRST was launched in December 2010. This is the umbrella under which all staff engagement initiatives are implemented to ensure a cohesive human resource strategy that builds on engagement, empowerment and excellence. Its key objectives are to Empower people to perform and innovate to achieve the organisational goals Create an environment of open communication, enhancing and driving teams Develop and nurture talented individuals

We have also partnered with Abu Dhabi Tawteen Council to launch leadership workshops for our Emirati staff and this program will continue in the coming years to create future Emirati leaders for the organization.

Service Quality

This year the Service Quality (SQ) initiatives in the Bank were directed towards establishing service standards and improved service delivery programs across Retail and Corporate businesses including support functions. Service improvement programs helped improve the customer service front-end and request process to achieve superior service performance. Customer service performance at First Gulf Bank stood at 89 per cent as assessed through an external independent study against the UAE banking average of 81.5 per cent. First Gulf Bank was also certified with ISO 9001:2008 Quality Management System certification covering all business units and support functions in 2010.

The way forward

First Gulf Bank is very well positioned to seize different opportunities by building on its strengths, I firmly believe that our strong and dynamic strategy will enable us to meet future challenges and create new opportunities. We continue to believe that our long-term success lies in delivery of outstanding service to our customers and we will continue to invest in further enhancing our customer offerings and services. We will also continue to invest in the future development of our diverse employee base and to create for them an environment of true meritocracy. We will remain firmly committed to the communities in which we operate around the world and will continue our initiatives as a responsible Corporate Social Citizen. Last, but by no means least, nothing has changed in our commitment to delivering value for you, our shareholders. We greatly appreciate your loyal support and remain absolutely determined to continue to earn it.

I would like to take this opportunity to thank the staff and management team for their continued dedication to the First Gulf Bank story, to the Board of Directors for their wisdom and guidance, our shareholders and bondholders who have stood by us in the market place and have ranked us above all our competitors and to the Central Bank for their continued guidance and support.

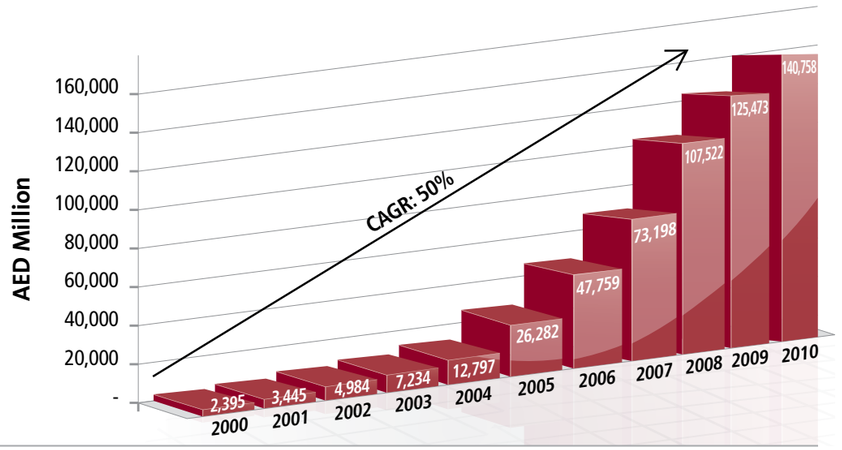


Andre' Sayegh
Chief Executive Officer

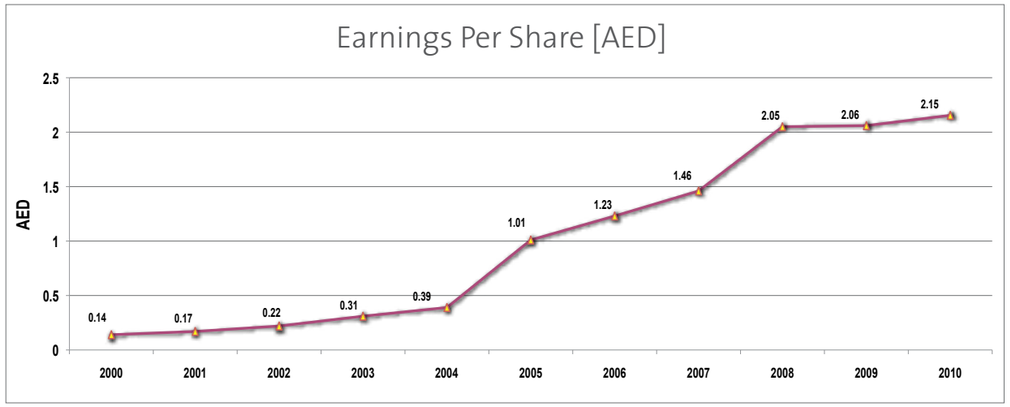


Growth Indicators

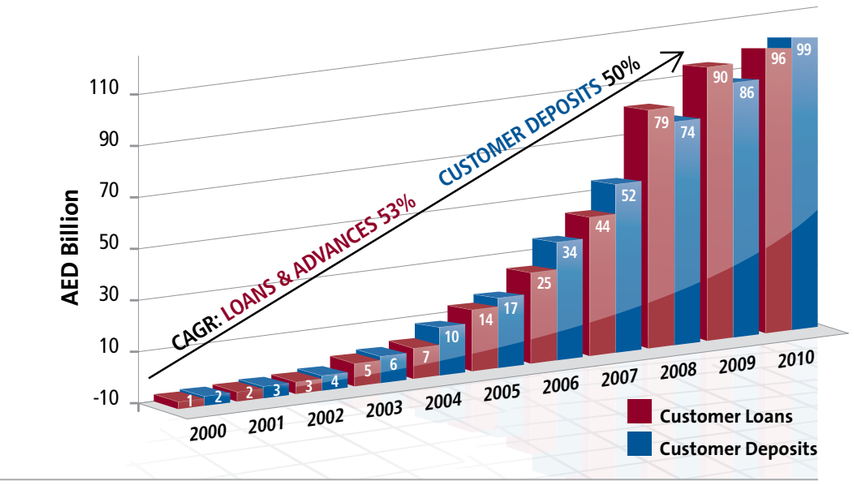
Assets



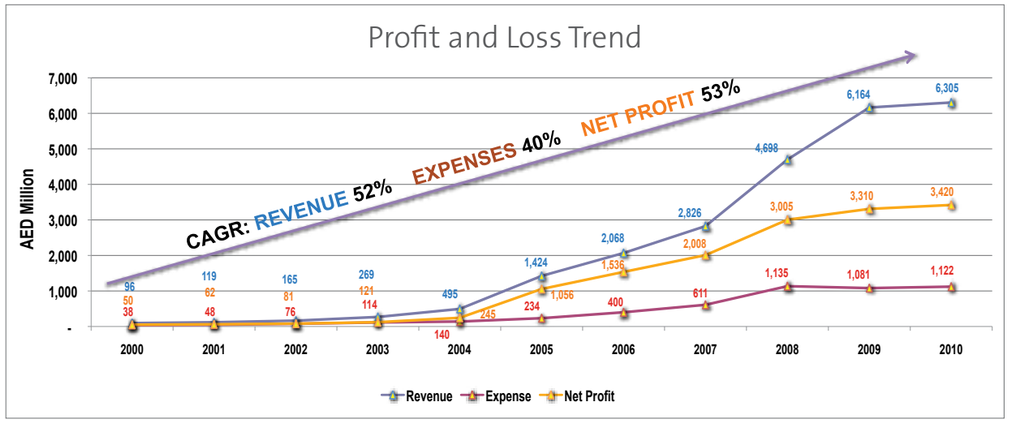
Earnings Per Share [AED]



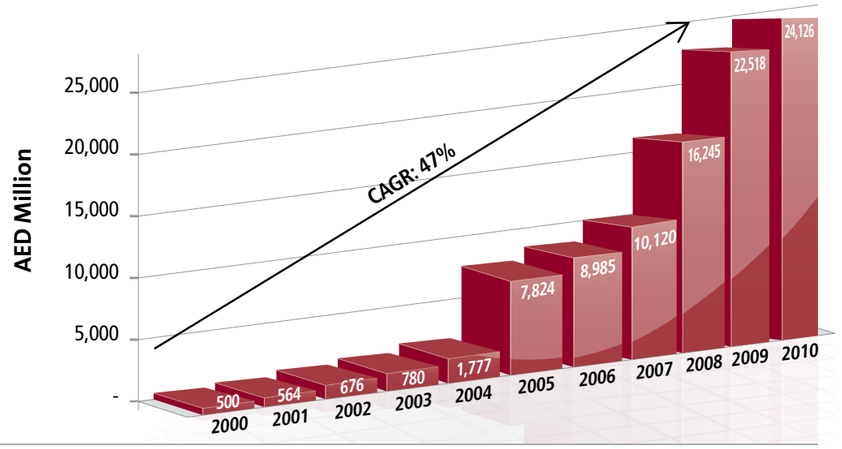
Customer Loans and Customer Deposits



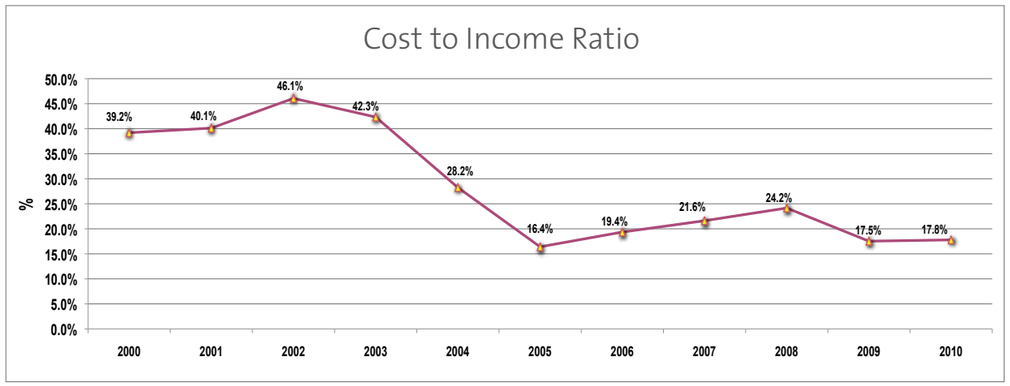
Profit and Loss Trend



Shareholders' Equity



Cost to Income Ratio



INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF FIRST GULF BANK PJSC

Report on the Financial Statements

We have audited the accompanying consolidated financial statements of First Gulf Bank PJSC and its subsidiaries ("the Bank"), which comprise the consolidated balance sheet as at 31 December 2010 and the consolidated income statement, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the applicable provisions of the articles of association of the Bank and the UAE Commercial Companies Law of 1984 (as amended) and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards of Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate for the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Bank as of 31 December 2010 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.

Report on Other Legal and Regulatory Requirements

We also confirm that, in our opinion, the consolidated financial statements include, in all material respects, the applicable requirements of the UAE Commercial Companies Law of 1984 (as amended) and the articles of association of the Bank; proper books of account have been kept by the Bank, and the contents of the Chairman's Report relating to these consolidated financial statements are consistent with the books of account. We have obtained all the information and explanations which we required for the purpose of our audit and, to the best of our knowledge and belief, no violations of the U.A.E. Commercial Companies Law of 1984 (as amended) or the articles of association of the Bank have occurred during the year which would have had a material effect on the business of the Bank or on its financial position.

Ernst & Young

Signed by

Andre Kasparian

Partner

Ernst & Young

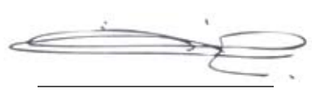
Registration No. 365

2 February 2011

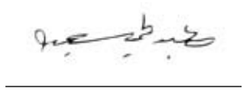
Abu Dhabi

Consolidated Balance Sheet
31 December 2010

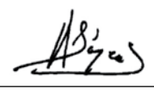
	Notes	***2010*** ***AED 000***	2009 AED 000	***2010*** ***US$ 000***	2009 US$ 000
Assets					
Cash and balances with U.A.E. Central Bank	3	**8,526,300**	5,546,970	**2,321,345**	1,510,201
Due from banks and financial institutions	26	**10,267,516**	4,626,549	**2,795,403**	1,259,610
Loans and advances	4	**95,628,016**	90,385,885	**26,035,398**	24,608,191
Non-trading investments	5	**14,988,304**	13,481,978	**4,080,671**	3,670,563
Investment in associates	6	**516,757**	561,455	**140,691**	152,860
Investment properties	7	**7,049,254**	6,000,383	**1,919,209**	1,633,646
Other assets	8	**3,156,187**	4,230,602	**859,294**	1,151,811
Property and equipment	9	**625,670**	638,721	**170,343**	173,896
Total assets		**140,758,004**	125,472,543	**38,322,354**	34,160,778
Liabilities					
Due to banks	10	**1,527,086**	1,940,567	**415,760**	528,333
Customers' deposits	11	**98,741,936**	86,421,906	**26,883,185**	23,528,970
Term loans	12	**11,723,675**	9,819,962	**3,191,854**	2,673,552
Other liabilities	13	**4,134,159**	4,387,340	**1,125,554**	1,194,484
Total liabilities		**116,126,856**	102,569,775	**31,616,353**	27,925,339
Equity					
Equity attributable to equity holders of the Bank					
Share capital	15	**1,375,000**	1,375,000	**374,353**	374,353
Treasury shares	16	**(1,056,332)**	(198,833)	**(287,594)**	(54,134)
Capital notes	17	**4,000,000**	4,000,000	**1,089,028**	1,089,028
Legal reserve	18	**5,305,110**	5,305,110	**1,444,353**	1,444,353
Special reserve	18	**846,648**	846,648	**230,506**	230,506
General reserve	18	**120,000**	120,000	**32,671**	32,671
Revaluation reserve	9	**87,554**	87,554	**23,837**	23,837
Proposed cash dividends	18	**900,000**	677,000	**245,031**	184,318
Retained earnings		**8,955,085**	6,834,854	**2,438,084**	1,860,838
Cumulative changes in fair values		**11,796**	(114,988)	**3,212**	(31,306)
Foreign currency translation reserve		**(18,489)**	(14,508)	**(5,034)**	(3,950)
Mandatory convertible bonds	19	**3,600,000**	3,600,000	**980,125**	980,125
		24,126,372	22,517,837	**6,568,572**	6,130,639
Non-controlling interests		**504,776**	384,931	**137,429**	104,800
Total equity		**24,631,148**	22,902,768	**6,706,001**	6,235,439
Total equity and liabilities		**140,758,004**	125,472,543	**38,322,354**	34,160,778



Chairman



Managing Director



Chief Executive Officer

The attached notes 1 to 34 form part of these consolidated financial statements.

Consolidated Income Statement
Year ended 31 December 2010

	Notes	***2010*** ***AED 000***	2009 AED 000	***2010*** ***US$ 000***	2009 US$ 000
Interest income and income from Islamic financing	20	**6,578,936**	6,489,973	**1,791,161**	1,766,941
Interest expense and Islamic financing expense	21	**(2,321,737)**	(2,656,241)	**(632,109)**	(723,180)
NET INTEREST INCOME AND INCOME FROM ISLAMIC FINANCING		**4,257,199**	3,833,732	**1,159,052**	1,043,761
Share of (losses) profits of associates	6	**(37,803)**	29,039	**(10,292)**	7,906
Other operating income	22	**2,085,588**	2,301,243	**567,816**	626,529
OPERATING INCOME		**6,304,984**	6,164,014	**1,716,576**	1,678,196
General and administrative expenses	23	**(1,121,548)**	(1,080,583)	**(305,349)**	(294,196)
PROFIT FROM OPERATIONS BEFORE IMPAIRED ASSETS CHARGE		**5,183,436**	5,083,431	**1,411,227**	1,384,000
Provision for impairment of loans and advances	24	**(1,639,087)**	(1,680,466)	**(446,253)**	(457,519)
Impairment of available for sale investments		**-**	(90,000)	**-**	(24,503)
PROFIT FOR THE YEAR		**3,544,349**	3,312,965	**964,974**	901,978
Attributable to:					
Equity holders of the Bank		**3,420,425**	3,310,335	**931,235**	901,262
Non-controlling interests		**123,924**	2,630	**33,739**	716
		3,544,349	3,312,965	**964,974**	901,978
Basic and diluted earnings per share	25	**AED 2.15**	AED 2.06	**US$ 0.59**	US$ 0.56

The attached notes 1 to 34 form part of these consolidated financial statements.

Consolidated Statement of Comprehensive Income
Year ended 31 December 2010

	2010	2009	***2010***	2009
	AED 000	AED 000	***US$ 000***	US$ 000
PROFIT FOR THE YEAR	**3,544,349**	3,312,965	**964,974**	901,978
OTHER COMPREHENSIVE INCOME:				
Net unrealised gains (losses) on available for sale investments	**190,661**	(123,034)	**51,909**	(33,496)
Impairment of available for sale investments	**-**	90,000	**-**	24,503
Realised gains on available for sale investments	**(63,731)**	(49,683)	**(17,351)**	(13,527)
Board of directors remuneration	**(48,000)**	(66,000)	**(13,068)**	(17,969)
Share of changes recognised directly in associates' equity	**(146)**	245	**(40)**	67
Revaluation reserve	**-**	16,824	**-**	4,580
Foreign exchange translation	**(8,057)**	7,735	**(2,194)**	2,106
Other comprehensive income (loss) for the year	**70,727**	(123,913)	**19,256**	(33,736)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	**3,615,076**	3,189,052	**984,230**	868,242
Total comprehensive income attributable to:				
Equity holders of the Bank	**3,495,231**	3,182,425	**951,601**	866,438
Non-controlling interests	**119,845**	6,627	**32,629**	1,804
	3,615,076	3,189,052	**984,230**	868,242

The attached notes 1 to 34 form part of these consolidated financial statements.

Consolidated Statement of Cash Flows
Year ended 31 December 2010

	Notes	***2010***	2009	***2010***	2009
		AED 000	AED 000	***US$ 000***	US$ 000
OPERATING ACTIVITIES					
Profit for the year		**3,544,349**	3,312,965	**964,974**	901,978
Adjustments for:					
Depreciation	9	**61,068**	61,424	**16,626**	16,723
Loss on sale of property and equipment	22	**3,074**	24,385	**837**	6,639
Provision for impairment of loans and advances	24	**1,639,087**	1,680,466	**446,253**	457,519
Impairment of available for sale investments		**-**	90,000	**-**	24,503
Gain on revaluation of investment properties	7	**(128,011)**	(221,030)	**(34,852)**	(60,177)
Loss on revaluation of property and equipment	22	**-**	83,558	**-**	22,749
Gain on disposal of development properties	22	**(178,570)**	(459,978)	**(48,617)**	(125,232)
Gain on sale of investment properties		**(3,500)**	-	**(953)**	-
(Gain) loss from investments		**(37,531)**	(46,236)	**(10,218)**	(12,588)
Share of loss (profit) of associates	6	**37,803**	(29,039)	**10,292**	(7,906)
Operating profit before changes in operating assets and liabilities:		**4,937,769**	4,496,515	**1,344,342**	1,224,208
Deposits with banks		**296,726**	(1,083,250)	**80,785**	(294,922)
Deposits with U.A.E. Central bank		**(1,300,000)**	(500,000)	**(353,934)**	(136,129)
Loans and advances		**(8,323,944)**	(12,703,355)	**(2,266,252)**	(3,458,577)
Other assets		**1,009,598**	(407,299)	**274,870**	(110,890)
Due to U.A.E. Central Bank		**-**	(4,200,000)	**-**	(1,143,479)
Due to banks		**(413,481)**	(1,172,075)	**(112,573)**	(319,106)
Customers' deposits		**13,762,756**	16,969,334	**3,747,007**	4,620,020
Other liabilities		**(252,201)**	523,523	**(68,663)**	142,532
Cash from operations		**9,717,223**	1,923,393	**2,645,582**	523,657
Directors' remuneration paid		**(66,000)**	(60,000)	**(17,969)**	(16,335)
Net cash from operating activities		**9,651,223**	1,863,393	**2,627,613**	507,322
INVESTING ACTIVITIES					
Purchase of non-trading investments		**(22,292,565)**	(16,534,972)	**(6,069,307)**	(4,501,762)
Proceeds from redemption and sale of non-trading investments		**20,950,700**	12,906,089	**5,703,975**	3,513,773
Purchase of property and equipment	9	**(51,159)**	(84,495)	**(13,928)**	(23,004)
Dividends from associates		**6,748**	20,859	**1,837**	5,679
Additions to investment properties	7	**(999,494)**	(638,444)	**(272,119)**	(173,821)
Proceeds from sale of investment properties		**93,000**	-	**25,320**	-
Proceeds from the sale of development properties		**232,522**	571,235	**63,306**	155,523
Proceeds from disposal of property and equipment		**68**	1,411	**18**	384
Net cash used in investing activities		**(2,060,180)**	(3,758,317)	**(560,898)**	(1,023,228)
FINANCING ACTIVITIES					
Acquisition of treasury shares		**(857,499)**	(153,962)	**(233,460)**	(41,917)
Dividends paid	18	**(657,095)**	(460,081)	**(178,899)**	(125,260)
Interest on mandatory convertible bonds		**(115,082)**	(159,791)	**(31,332)**	(43,504)
Interest on capital notes		**(240,000)**	(120,000)	**(65,342)**	(32,671)
Issuance of capital notes		**-**	4,000,000	**-**	1,089,028
Draw-down of term loans	12	**1,909,593**	2,279,650	**519,900**	620,650
Repayment of term loans	12	**(5,880)**	(2,754,750)	**(1,601)**	(750,000)
Other movement in non-controlling interests		**-**	3,935	**-**	1,071
Net cash from financing activities		**34,037**	2,635,001	**9,266**	717,397
NET INCREASE IN CASH AND CASH EQUIVALENTS		**7,625,080**	740,077	**2,075,981**	201,491
Cash and cash equivalents at 1 January		**5,890,269**	5,142,457	**1,603,667**	1,400,070
Net changes in foreign currency translation reserve		**(8,057)**	7,735	**(2,194)**	2,106
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	26	**13,507,292**	5,890,269	**3,677,454**	1,603,667
Operating cash flows from interest and Islamic financing					
Interest and Islamic financing income received		**6,410,464**	6,548,279	**1,745,294**	1,782,815
Interest and Islamic financing expense paid		**2,205,297**	2,754,954	**600,408**	750,056

The attached notes 1 to 34 form part of these consolidated financial statements.

Consolidated Statement of Changes In Equity
Year ended 31 December 2010

	Attributable to equity holders of the Bank														
	Share capital AED 000	*Capital notes AED 000*	*Treasury shares AED 000*	*Legal reserve AED 000*	*Special reserve AED 000*	*General reserve AED 000*	*Revaluation reserve AED 000*	*Proposed dividends AED 000*	*Retained earnings AED 000*	*Cumulative changes in fair values AED 000*	*Foreign currency translation reserve AED 000*	*Mandatory convertible bonds AED 000*	*Total AED 000*	*Non-controlling interests AED 000*	*Total equity AED 000*
At 1 January 2009	1,375,000	-	(44,871)	5,305,110	846,648	120,000	70,730	477,400	4,545,986	(32,516)	(18,246)	3,600,000	16,245,241	374,369	16,619,610
Total comprehensive income for the year	-	-	-	-	-	-	16,824	-	3,244,335	(82,472)	3,738	-	3,182,425	6,627	3,189,052
Transfer to dividends payable	-	-	-	-	-	-	-	(476,076)	-	-	-	-	(476,076)	-	(476,076)
Transfer of dividends payable on treasury shares	-	-	-	-	-	-	-	(1,324)	1,324	-	-	-	-	-	-
Interest on mandatory convertible bonds (note 19)	-	-	-	-	-	-	-	-	(159,791)	-	-	-	(159,791)	-	(159,791)
Interest on capital notes (note 17)	-	-	-	-	-	-	-	-	(120,000)	-	-	-	(120,000)	-	(120,000)
Net purchase of treasury shares (note 16)	-	-	(153,962)	-	-	-	-	-	-	-	-	-	(153,962)	-	(153,962)
Proposed cash dividends (note 18)	-	-	-	-	-	-	-	677,000	(677,000)	-	-	-	-	-	-
Other movements in non-controlling interests	-	-	-	-	-	-	-	-	-	-	-	-	-	3,935	3,935
Issuance of capital notes (note 17)	-	4,000,000	-	-	-	-	-	-	-	-	-	-	4,000,000	-	4,000,000
As of 31 December 2009	1,375,000	4,000,000	(198,833)	5,305,110	846,648	120,000	87,554	677,000	6,834,854	(114,988)	(14,508)	3,600,000	22,517,837	384,931	22,902,768
At 1 January 2010	1,375,000	4,000,000	(198,833)	5,305,110	846,648	120,000	87,554	677,000	6,834,854	(114,988)	(14,508)	3,600,000	22,517,837	384,931	22,902,768
Total comprehensive income for the year	-	-	-	-	-	-	-	-	3,372,428	126,784	(3,981)	-	3,495,231	119,845	3,615,076
Transfer to dividends payable	-	-	-	-	-	-	-	(674,115)	-	-	-	-	(674,115)	-	(674,115)
Transfer of dividends payable on treasury shares	-	-	-	-	-	-	-	(2,885)	2,885	-	-	-	-	-	-
Interest on mandatory convertible bonds (note 19)	-	-	-	-	-	-	-	-	(115,082)	-	-	-	(115,082)	-	(115,082)
Interest on capital notes (note 17)	-	-	-	-	-	-	-	-	(240,000)	-	-	-	(240,000)	-	(240,000)
Net purchase of treasury shares (note 16)	-	-	(857,499)	-	-	-	-	-	-	-	-	-	(857,499)	-	(857,499)
Proposed cash dividends (note 18)	-	-	-	-	-	-	-	900,000	(900,000)	-	-	-	-	-	-
As of 31 December 2010	**1,375,000**	**4,000,000**	**(1,056,332)**	**5,305,110**	**846,648**	**120,000**	**87,554**	**900,000**	**8,955,085**	**11,796**	**(18,489)**	**3,600,000**	**24,126,372**	**504,776**	**24,631,148**

The attached notes 1 to 34 form part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 December 2010

1 ACTIVITIES

First Gulf Bank PJSC ("the Bank") is a public joint stock company with limited liability incorporated in Abu Dhabi in accordance with U.A.E. Federal Law No. (8) of 1984 (as amended). The Bank carries on commercial and retail banking, investment and real estate activities through its Head Office, branches and subsidiaries in Abu Dhabi and its other branches in Dubai, Ajman, Sharjah, Fujairah, Al Ain and Ras Al Khaimah. The representative office of the Bank has commenced operations in Singapore from June 2007 and was upgraded to a wholesale bank in August 2009. Under an agreement signed with the Economic and Social Development Fund of Libya, a commercial bank (First Gulf Libyan Bank) was established in Libya which commenced activities in November 2008. The First Gulf Libyan Bank which is being managed by the Bank, has a paid-up capital of US$ 200 million which has been contributed equally by both parties. The Bank has established a representative office in India in September 2009 and in Qatar in November 2009.

The principal activities of the Bank are described in Note 30.

The registered head office of the Bank is at PO Box 6316, Abu Dhabi, United Arab Emirates (U.A.E.).

The consolidated financial statements of the Bank were authorised for issue by the Board of Directors on 2 February 2011.

2 SIGNIFICANT ACCOUNTING POLICIES

Basis of preparation

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards as issued by the International Accounting Standard Board (IASB) and applicable requirements of the Laws in the U.A.E.

The consolidated financial statements have been prepared under the historical cost convention except for investment securities (other than held to maturity investments), derivative financial instruments, investment properties and land included in property and equipment which have been measured at fair value. The carrying values of recognised assets and liabilities that are hedged items in fair value hedges, and otherwise carried at cost, are adjusted to record changes in fair value attributable to the risks that are being hedged.

The consolidated financial statements of the Bank are prepared in United Arab Emirates Dirhams (AED) which is the functional currency of the Bank. The consolidated balance sheet, consolidated income statement and consolidated statement of cash flows in US Dollar (US$) are presented solely for the convenience of the readers of the consolidated financial statements. The AED amounts have been translated at the rate of AED 3.673 to US$ 1 (2009: AED 3.673 to US$ 1) and all values are rounded to the nearest thousand AED except where otherwise indicated.

Changes in accounting policies and disclosures

The accounting policies adopted are consistent with those of the previous financial year, except as follows:

Amendments resulting from Improvements to IFRSs to the following standards did not have any impact on the accounting policies, financial position or the performance of the Bank:

- IFRS 2 Share-based Payments: Group Cash-settled Share Based Payment Transactions effective 1 January 2010
- IFRS 3 Business Combinations (Revised) and IAS 27 Consolidated and Separate Financial Statements (Amended) effective 1July 2009, including consequential amendments to IFRS 2, IFRS 5, IFRS 7, IAS 7, IAS 21, IAS 28, IAS 31 and IAS 39
- IAS 39 Financial Instruments: Recognition and Measurement – Eligible Hedge Items effective 1 July 2009
- IFRIC 17 Distributions of Non-cash Assets to Owners effective 1 July 2009
- Improvements to IFRSs
- IFRS 5 Non-current Assets Held for sale and Discontinued Operations effective 1 January 2010
- IFRS 2 Share based payments
- IAS 1 Presentation of financial statements
- IAS 17 Leases
- IAS 38 Intangible Assets

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Changes in accounting policies and disclosures *continued*
- IAS 39 Financial Instruments: Recognition and Measurement
- IFRIC 9 Reassessment of Embedded Derivatives

Standards issued but not yet effective
Standards issued but not yet effective up to the date of the issuance of the Bank's financial statements are listed below. This listing is of standards and interpretations issued, which the Bank reasonably expects to be applicable at a future date. The Bank intends to adopt those standards when they become applicable.

- IFRS 9 *Financial Instruments*
  IFRS 9 as issued reflects the first phase of IASB's work on the replacement of IAS 39 and applies to classification and measurement of financial assets and liabilities as defined in IAS 39. The standard is effective for annual periods beginning on or after 1 January 2013. In subsequent phases, the Board will address impairment and hedge accounting. The completion of this project is expected in mid 2011.
- IAS 24 Related Party Disclosures (Amendment)
- IAS 32 Financial Instruments: Presentation – Classification of Rights Issues (Amendment)
- IFRIC 14 Prepayments of a minimum funding requirement (Amendment)
- IFRIC 19 Extinguishing Financial Liabilities with Equity Instruments
- Improvements to IFRSs (issued in May 2010)

The Bank however, expects no impact from the adoption of the amendments on its financial position or performance.

Basis of consolidation
The consolidated financial statements comprise the financial statements of the Bank and those of its following subsidiaries:

	Activity	Country of incorporation	Percentage of holding	
			2010	2009
Mismak Properties Co. LLC (Mismak)	Real estate investments	United Arab Emirates	**100%**	100%
Radman Properties Co. LLC (Subsidiary of Mismak)	Real estate investments	United Arab Emirates	**80%**	80%
First Merchant International LLC	Merchant banking services	United Arab Emirates	**100%**	100%
First Gulf Libyan Bank	Banking services	Libya	**50%**	50%

The financial statements of the subsidiaries are prepared for the same reporting year as the Bank, using consistent accounting policies. All intra-group balances, transactions, income and expenses and profits and losses resulting from intra-group transactions that are recognised in assets, are eliminated in full.

Subsidiaries are fully consolidated from the date on which control is transferred to the Bank. The Bank exercises control over all of the subsidiaries listed above. Control is achieved where the Bank has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. The results of subsidiaries acquired or disposed of during the year are included in the consolidated income statement from the date of acquisition or up to the date of disposal, as appropriate. Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.

Non-controlling interests represent the portion of the profit and net assets in subsidiaries not held by the Bank and are presented separately in the consolidated income statement and within equity in the consolidated balance sheet separately from the Bank shareholders' equity.

Due from banks
Due from banks are stated at amortised cost using the effective interest rate less any amounts written off and provision for impairment.

Trading investments
These are initially recognised at cost, being the fair value of the consideration given and subsequently remeasured at fair value. All related realised and unrealised gains or losses are included in the consolidated income statement.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Non-trading investments
These are classified as follows:
- Held to maturity
- Available for sale
- Investments carried at fair value through income statement

All investments are initially recognised at cost, being the fair value of the consideration given including acquisition charges (except for investments carried at fair value through the income statement) associated with the investment. Premiums and discounts on non-trading investments (excluding those carried at fair value through income statement) are amortised using the effective interest rate method and taken to interest income.

Held to maturity
Investments which have fixed or determinable payments and are intended to be held to maturity, are carried at amortised cost, less provision for impairment in value.

Available for sale
After initial recognition, investments which are classified "available for sale" are remeasured at fair value, unless fair value cannot be reliably determined in which case they are measured at cost less impairment. Fair value changes which are not part of an effective hedging relationship, are reported as a separate component of equity until the investment is derecognised or the investment is determined to be impaired. On derecognition or impairment the cumulative gain or loss previously reported as "cumulative changes in fair value" within equity, is included in the consolidated income statement.

Investments carried at fair value through income statement
Investments are classified as fair value through income statement if the fair value of the investment can be reliably measured and the classification as fair value through income statement is as per the documented strategy of the Bank. Investments classified as "Investments at fair value through income statement" upon initial recognition are remeasured at fair value with all changes in fair value being recorded in the consolidated income statement.

Investment in associates
The Bank's investment in associates is accounted for under the equity method of accounting. An associate is an entity in which the Bank has significant influence and which is neither a subsidiary nor a joint venture.

Under the equity method, the investment in the associate is carried in the balance sheet at cost plus post-acquisition changes in the Bank's share of net assets of the associate. Losses in excess of the cost of the investment in an associate are recognised when the Bank has incurred obligations on its behalf. Goodwill relating to the associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

The Bank's share of the result of operations of associates is included in the consolidated income statement. Unrealized profits and losses from transactions between the Bank and an associate are eliminated to the extent of the Bank's interest in the associate. The reporting dates of associates and the Bank are identical and the associates' accounting policies conform to those used by the Bank for like transactions and events in similar circumstances. After application of the equity method, the Bank determines whether it is necessary to recognise an additional impairment loss on the Bank's investment in associates. The Bank determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case then the Bank calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount in the "share of profits (losses) of associates" in the consolidated income statement.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Repurchase and reverse repurchase agreements
Assets sold with a simultaneous commitment to repurchase at a specified future date ("Repo") are not derecognised. The counterparty liability for amounts received under these agreements is included in due to banks or customers' deposits in the consolidated balance sheet, as appropriate. The difference between the sale and repurchase price is treated as interest expense which is accrued over the life of the repo agreement using the effective interest rate.

Conversely, securities purchased under agreements to resell at a specified future date ("Reverse Repos") are not recognised on the consolidated balance sheet. The corresponding cash paid, including accrued interest, is included in loans and advances. The difference between the purchase price and resale prices is treated as interest income which is accrued, using the effective interest rate, over the life of the Reverse Repos.

Loans and advances
These are stated at amortised cost, adjusted for effective fair value hedges and stated net of interest suspended less any amounts written off and provision for impairment. Impaired loans are written off only when all possible courses of action to achieve recovery have proved unsuccessful. Amortised cost is calculated using the effective interest rate method.

Islamic financing
Islamic financing comprise principally of floating profit-rate Ijara and Murabaha contracts which are stated at cost less any provisions for impairment.

Impairment and uncollectibility of financial assets
An assessment is made at each balance sheet date to determine whether there is objective evidence that a specific financial asset may be impaired. If such evidence exists, any impairment loss is recognised in the income statement.

Impairment is determined as follows:

(a) for assets carried at amortised cost, impairment is based on estimated cash flows discounted at the original effective interest rate.

(b) for assets carried at fair value, impairment is the difference between cost and fair value.

(c) for assets carried at cost, impairment is based on the present value of future cash flows discounted at the current market rate of return for a similar financial asset.

For available for sale equity investments, reversals of impairment losses are recorded as increases in cumulative changes in fair value through equity.

In addition, a provision is made to cover collective impairment for specific groups of assets carried at amortised cost, where there is a measurable decrease in estimated future cash flows.

Government grants
Government grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the Bank receives non-monetary grants with no conditions attached thereto, the asset and grant are recorded at fair value and the grant is recognised in the consolidated income statement in the period in which it is received. In the case of other non-monetary grants, the grant is set up as deferred income at its fair value and is released to the consolidated income statement over the expected useful life of the relevant asset by equal annual instalments.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Investment properties
Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition investment properties are stated at fair value which reflects market conditions at the balance sheet date. Gains or losses arising from changes in the fair values of investment properties are included in the consolidated income statement in the year in which they arise.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the consolidated income statement in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from properties held for sale, any difference between the fair value of the property at the date of transfer and its previous carrying amount shall be recognised in the consolidated income statement.

Property and equipment
Property and equipment are initially recorded at cost. The carrying amounts are reviewed at each balance sheet date to assess whether they are recorded in excess of their recoverable amount and, where carrying values exceed the recoverable amount, assets are written down. Land is measured at fair value based on valuations performed by independent professional valuers. Valuations are performed frequently to ensure that the fair value of revalued land does not differ materially from its carrying amount.

Any revaluation surplus is credited to the revaluation reserve included in the equity section of the consolidated statement of financial position, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the consolidated income statement, in which case the increase is recognised in the consolidated income statement. A revaluation deficit is recognised in the consolidated income statement, except to the extent that it offsets an existing surplus on the same asset recognised in the revaluation reserve.

Depreciation is provided on a straight-line basis on all property and equipment, other than freehold land which is determined to have an indefinite life.

The estimated useful lives of the assets for the calculation of depreciation are as follows:

Buildings	20 years
Motor vehicles	3 years
Furniture, fixtures and equipment	4 years
Computer hardware and software	4 years

Capital work-in progress is initially recorded at cost, and upon completion is transferred to the appropriate category of property and equipment and thereafter depreciated.

Provisions
Provisions are recognised when the Bank has a present obligation (legal or constructive) arising from a past event and the costs to settle the obligation are both probable and able to be reliably measured.

Deposits
All money market and customer deposits are carried at amortised cost less amounts repaid.

Treasury shares
Own equity instruments which are acquired (treasury shares) are deducted from the equity and accounted for at weighted average cost. No gain or loss is recognised in the consolidated income statement on the purchase, sale, issue or cancellation of the Bank's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in share premium. If treasury shares are distributed as part of a bonus share issue, the cost of the shares is charged against retained earnings. Voting rights relating to treasury shares are nullified for the Bank and no dividends are allocated to them respectively.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Fiduciary assets
Assets held in trust or in a fiduciary capacity are not treated as assets of the Bank and accordingly are not included in these consolidated financial statements.

Revenue recognition
Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised:

i. Interest income and expense
For all financial instruments measured at amortised cost and interest bearing financial instruments classified as available for sale investments, interest income or expense is recorded at the effective interest rate, which is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the effective interest rate, but not future credit losses. The carrying amount of the financial asset or financial liability is adjusted if the Bank revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original effective interest rate and the change in carrying amount is recorded as interest income or expense.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised.

ii. Fee and commission income
The Bank earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

Fee income earned from services that are provided over a certain period of time
Fees earned for the provision of services over a period of time are accrued over that period. These fees include commission income and asset management, custody and other management and advisory fees. Loan commitment fees for loans that are likely to be drawn down and other credit related fees are deferred (together with any incremental costs) and recognised as an adjustment to the effective interest rate on the loan.

Fee income from providing transaction services
Fees arising from negotiating or participating in the negotiation of a transaction for a third party – such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses – are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the corresponding criteria.

iii. Dividend income
Revenue is recognised when the Bank's right to receive the payment is established.

iv. Net trading income
Results arising from trading activities include all gains and losses from changes in fair value and related interest income or expense and dividends for financial assets and financial liabilities held for trading. This includes any ineffectiveness recorded in hedging transactions.

v. Rental income
Rental income arising on investment properties is accounted for on a straight-line basis over the lease terms on ongoing leases and is recorded in the income statement in 'Other operating income'.

iv. Income from Islamic financing
Income from Islamic financing is recognised on a time-proportion basis based on principal amounts outstanding.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 December 2010

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Foreign currencies
Monetary assets and liabilities in foreign currencies are translated into AED at rates of exchange prevailing at the balance sheet date. Any gains and losses are taken to the consolidated income statement.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

As at the reporting date, the assets and liabilities of foreign operations are translated into the Bank's presentation currency at the rate of exchange ruling at the balance sheet date, and their income statements are translated at the weighted average exchange rates for the year. Exchange differences arising on translation are taken directly to a separate component of equity. On disposal of a foreign operation, the deferred cumulative amount recognised in the equity relating to a particular foreign operation is recognised in the consolidated income statement.

Cash and cash equivalents
Cash and cash equivalents comprise cash, balances with U.A.E. Central Bank and due from banks and other financial institutions with original maturities of less than three months.

Employees' pension and end of service benefits
The Bank provides end of service benefits for its employees. The entitlement to these benefits is based upon the employees' length of service and completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment.

With respect to its UAE national employees, the Bank makes contributions to the relevant government pension scheme calculated as a percentage of the employees' salaries. The Bank's obligations are limited to these contributions, which are expensed when due.

Leases
Finance leases, which transfer to the Bank substantially all the risks and benefits incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased asset or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income. Capitalised leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognised as an expense in the consolidated income statement on a straight line basis over the shorter of the lease term or the estimated useful life of the asset.

Derivatives
The Bank enters into derivative financial instruments including forwards, swaps, futures, options and swaptions in the foreign exchange and capital markets. Derivatives are stated at fair value. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative using prevailing market rates or internal pricing models. Derivatives with positive market values (unrealised gains) are included in other assets and derivatives with negative market values (unrealised losses) are included in other liabilities in the consolidated balance sheet.

2 **SIGNIFICANT ACCOUNTING POLICIES** *continued*

Hedges
For the purposes of hedge accounting, hedges are classified into two categories: (a) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; and (b) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a forecasted transaction.

In relation to fair value hedges which meet the conditions for hedge accounting, any gain or loss from remeasuring the hedging instrument to fair value is recognised immediately in the consolidated income statement. The hedged item is adjusted for fair value changes relating to the risk being hedged and the difference is recognised in the consolidated income statement.

In relation to cash flow hedges which meet the conditions for hedge accounting, the portion of the gain or loss on the hedging instrument that is determined to be an effective hedge is recognised initially in equity and the ineffective portion is recognised in the consolidated income statement. The gains or losses on effective cash flow hedges recognised initially in equity are either transferred to the consolidated income statement in the period in which the hedged transaction impacts the consolidated income statement or included in the initial measurement of the cost of the related asset or liability.

For hedges which do not qualify for hedge accounting, any gains or losses arising from changes in the fair value of the hedging instrument are taken to the consolidated income statement.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting. At that point in time, in the case of a cash flow hedge, any cumulative gains or losses on the hedging instrument initially recognised in equity remains in equity until the forecasted transaction occurs. Where the hedged transaction is no longer expected to occur, the net cumulative gains or losses initially recognised in equity are transferred to the consolidated income statement. In the case of a fair value hedge, for hedged items recorded at amortised cost, using the effective interest rate method, the difference between the carrying value of the hedged item on termination and the face value is amortised over the remaining term of the original hedge. If the hedged item is derecognised, the unamortised fair value adjustment is recognised immediately in the consolidated income statement.

Trade and settlement date accounting
Purchases and sales of financial assets are recognised on the trade date, i.e. the date that the Bank commits to purchase or sell the asset.

2 **SIGNIFICANT ACCOUNTING POLICIES** *continued*

Offsetting
Financial assets and financial liabilities are only offset and the net amount reported in the consolidated balance sheet when there is a legally enforceable right to set off the recognised amounts and the Bank intends to either settle on a net basis, or to realise the asset and settle the liability simultaneously.

Financial guarantees
Financial guarantees are defined as contracts whereby an entity undertakes to make specific payments for a third party if the latter does not do so. Financial guarantees are reviewed periodically so as to determine the credit risk to which they are exposed and, if appropriate, to consider whether a provision is required. The credit risk is determined by application of criteria similar to those established for quantifying impairment losses on loans and advances. If a specific provision is required for financial guarantees, the related unearned commissions recognised under other liabilities in the consolidated balance sheet are reclassified to the appropriate provision.

De-recognition of financial assets and liabilities
The Bank de-recognises all or part of a financial asset when the contractual rights to the cash flows on the asset expire or when the Bank has transferred the contractual rights to receive the cash flows and substantially all of the risks and rewards linked to the ownership of the asset. The Bank derecognises all or part of a financial liability when the liability is extinguished in full or in part.

Fair values
For investments and derivatives quoted in an active market, fair value is determined by reference to quoted market prices. Bid prices are used for assets and ask prices are used for liabilities. The fair value of investments in mutual funds, private equity funds or similar investment vehicles are based on the last net asset value published by the fund manager. For other investments, a reasonable estimate of the fair value is determined by reference to the price of recent market transactions involving such investments, current market value of instruments which are substantially the same, or is based on the expected discounted cash flows.

The estimated fair value of deposits with no stated maturity, which includes non-interest bearing deposits, is the amount payable on demand.

The fair value of forward exchange contracts is calculated by reference to forward exchange rates with similar maturities. For other derivatives without quoted prices in an active market, fair value is determined based on quotations received from counter party financial institutions or established third party valuation models.

The fair value of unquoted investments is determined by reference to discounted cash flows, pricing models, net asset base of investee companies or broker over-the-counter quotes.

Significant accounting judgments and estimates
In the process of applying the Bank's accounting policies, management has used its judgments and made estimates in determining the amounts recognised in the financial statements. The most significant use of judgments and estimates are as follows:

Going concern
The Bank's management has made an assessment of the Bank's ability to continue as a going concern and is satisfied that the Bank has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2 SIGNIFICANT ACCOUNTING POLICIES *continued*

Significant accounting judgments and estimates continued

Classification of investment properties under construction
Management decides on acquisition of a property whether it should be classified as investment property, property and equipment or as properties held for sale.

Properties acquired by the Bank are recorded as investment properties if these were acquired for rental purposes or capital appreciation.

Properties held for own use is recorded as property and equipment.

Properties are recorded as held for sale, at cost, if their carrying amounts will be recovered through a sale transaction.

Classification of investments
Management decides on acquisition of an investment whether it should be classified as held to maturity, held for trading, carried at fair value through income statement, or available for sale.

For those deemed to be held to maturity, management ensures that the requirements of IAS 39 are met and in particular the Bank has the intention and ability to hold these to maturity.

The Bank classifies investments as trading if they are acquired primarily for the purpose of making a short-term profit by the dealers.

Classification of investments as fair value through income statement depends on how management monitors the performance of these investments. When they are not classified as held for trading but have readily available reliable fair values and the changes in fair values are reported as part of profit or loss in the management accounts, they are classified as fair value through income statement.

All other investments are classified as available for sale.

Impairment of investments
The Bank treats available for sale equity investments as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is 'significant' or 'prolonged' requires judgment for which management takes into consideration, amongst other factors, share price volatility and the underlying asset base of the investee companies.

Impairment losses on loans and advances
The Bank reviews its problem loans and advances on a quarterly basis to assess whether a provision for impairment should be recorded in the consolidated income statement. In particular, considerable judgment by management is required in the estimation of the amount and timing of future cash flows when determining the level of provisions required. Such estimates are necessarily based on assumptions about several factors involving varying degrees of judgment and uncertainty, and actual results may differ resulting in future changes to such provisions.

Collective impairment provisions on loans and advances
In addition to specific provisions against individually significant loans and advances, the Bank also makes a collective impairment provision against loans and advances which although not specifically identified as requiring a specific provision have a greater risk of default than when originally granted. The amount of the provision is based on the guidelines issued by the Central Bank of the UAE.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
31 December 2010

3 CASH AND BALANCES WITH U.A.E. CENTRAL BANK

	2010	*2009*
	AED 000	*AED 000*
Cash on hand	**256,527**	236,623
Balances with U.A.E. Central Bank	**8,269,773**	5,310,347
	8,526,300	5,546,970

Balances with U.A.E. Central Bank include AED 2,598,812 thousand (2009: AED 1,934,150 thousand) representing mandatory cash reserve deposits and AED 4,500,000 thousand (2009: AED 3,200,000 thousand) representing certificates of deposit. These are not available for use in the Bank's day-to-day operations.

4 LOANS AND ADVANCES

The composition of loans and advances portfolio is as follows:

	2010	*2009*
	AED 000	*AED 000*
Economic Sector		
Agriculture	**292,486**	237,937
Energy	**797,682**	438,106
Trading	**3,702,956**	3,635,260
Construction	**4,840,280**	5,720,128
Transport	**723,250**	785,054
Personal - Retail loans and credit cards	**22,570,952**	19,567,061
Personal - Retail mortgages	**3,015,674**	1,847,756
Personal - Retail mortgages - National Housing Loan (note 11)	**8,343,915**	6,416,092
Personal - Others	**6,085,542**	7,657,352
Government	**532,724**	340,165
Share financing	**4,045,724**	4,310,895
Real estate	**18,444,500**	17,878,232
Services	**15,884,730**	15,050,687
Public sector	**6,268,145**	6,360,774
Manufacturing	**3,374,239**	2,670,168
Total	**98,922,799**	92,915,667
Less provision for impaired loans and advances	**(3,294,783)**	(2,529,782)
Total	**95,628,016**	90,385,885
Representing:		
Conventional loans and advances	**89,857,949**	84,884,283
Islamic financing	**5,770,067**	5,501,602
Total	**95,628,016**	90,385,885

Loans and advances include an amount of AED 55,095 thousand (2009: AED 55,095 thousand) being amounts lent against the purchase of debt securities under reverse repurchase agreements with arrangements to resell them at a fixed future date.

4 LOANS AND ADVANCES *continued*

Loans and advances to customers are stated net of provision for impairment. The movements in the provision during the year were as follows:

	2010	*2009*
	AED 000	*AED 000*
At 1 January	**2,529,782**	1,140,791
Amounts written off	**(847,180)**	(289,865)
Recoveries (Note 24)	**(17,146)**	(21,572)
Charge for the year (Note 24)	**1,656,233**	1,702,038
Notional interest on impaired loans and advances (Note 20)	**(26,906)**	(1,610)
At 31 December	**3,294,783**	2,529,782

At 31 December 2010, the provision for impaired loans and advances includes an amount of AED 82 million (2009: AED nil) in respect of loans and advances to Dubai World Group totalling AED 880 million which are in the process of being restructured. At 31 December 2010, other balances in accounts classified as impaired amounted to AED 3,686,780 thousand (2009: AED 1,450,813 thousand).

In certain cases, the Bank continues to carry classified doubtful debts and delinquent accounts on its books even after making 100% provision for impairment. Where appropriate, interest is recorded and suspended on these accounts for legal considerations. Interest income on impaired loans is recognised in accordance with IAS 39: Financial Instruments: Recognition and Measurement. The notional interest on impaired loans and advances charged during the year amounted to AED 26,906 thousand (2009: AED 1,610 thousand).

During the year, National Housing Loans increased by AED 3,370,549 thousand. The increase was partially offset by the waiver of AED 1,442,726 thousand representing a discount of 25% granted to nearly 3,000 borrowers on the completion of their houses as directed by the Private Housing Loans Authority for Nationals. The amount waived was reduced from the corresponding Abu Dhabi Government deposit (Note 11). This is a non-cash transaction which has been excluded from the statement of cash flows.

5 NON-TRADING INVESTMENTS

		2010	*2009*
		AED 000	*AED 000*
Carried at fair value through income statement			
Investments in managed funds		**138,922**	203,374
Investments in equities	- Quoted	**246,330**	214,928
Debt securities		**21,579**	-
Available for sale investments			
Investments in equities	- Unquoted	**80,243**	125,759
Investments in private equity funds		**1,268,300**	1,022,968
Debt securities	- Quoted	**767,248**	751,912
	- Unquoted	**187,522**	20,000
Structured note	- Quoted	**183,650**	-
Held to maturity investments			
Debt securities	- Quoted	**9,854,296**	7,562,710
	- Unquoted	**2,240,214**	3,580,327
Total		**14,988,304**	13,481,978

5 NON-TRADING INVESTMENTS *continued*

	2010	*2009*
	AED 000	*AED 000*
Analysis of debt securities:		
Fixed rate	**11,275,959**	9,063,273
Floating rate	**1,978,550**	2,851,676
	13,254,509	11,914,949
Geographic analysis of investments is as follows:		
Within U.A.E.	**2,985,082**	3,686,093
Outside U.A.E.	**12,003,222**	9,795,885
	14,988,304	13,481,978

Investments in managed funds represent investments made in managed hedge funds which invest in equities, debt securities and derivatives with the objective of generating superior returns on a risk-adjusted basis using a diversified portfolio approach.

Investments in private equity funds represent investments made in funds and limited partnerships to fund primary investment commitments in target companies with the objective of generating returns outperforming the public equity markets.

Investments in equities amounting to AED 43,817 thousand (2009: AED 41,660 thousand) are held in the name of third parties with the beneficial interest assigned to the Bank.

Debt securities represent bonds with maturities ranging up to 10 years from the balance sheet date. Of the debt securities at 31 December 2010, 85% (2009: 79%) comprise bonds which are either guaranteed by governments or issued by entities owned by governments.

At 31 December 2010, the Bank's largest holding of debt securities issued by a single issuer accounted for 69% (2009: 62%) of total investments.

At 31 December 2010, debt securities with a carrying value of AED 10,246,435 thousand (2009: AED 7,823,490 thousand) were pledged under repurchase agreements with overseas financial institutions and banks with a principal value of AED 10,120,763 thousand (2009: AED 7,784,683 thousand).

The fair value of held to maturity investments at 31 December 2010 amounted to AED 12,108,800 thousand (2009: AED 10,899,123 thousand).

All unquoted available for sale equities are recorded at fair value except for investments amounting to AED 2,432 thousand (2009: AED 64,533 thousand) which are recorded at cost since their fair values cannot be reliably estimated. There is no active market for these investments and the Bank intends to hold them for the long term.

In 2008, the Bank entered into an exchange agreement in respect of an investment it held in a quoted equity, whereby the rights and benefits to the investment were transferred to a third party in exchange for the payment of interest at the rate of EURIBOR plus 0.5% for the duration of the agreement of 5 years. Under the agreement, any appreciation or decline in value of the investment at maturity or termination of the agreement, if earlier, would be ceded to the third party. Accordingly, the investment in the quoted equity was de-recognised and the balance outstanding from the third party representing the value of the investment of Euro 260 million (equivalent to AED 1,406 million at the inception of the agreement) was recorded under other assets (Note 8).

6 INVESTMENT IN ASSOCIATES

The Bank has the following investments in associates

	Percentage of holding	
	2010	*2009*
First Gulf Financial Services LLC	**45%**	45%
Green Emirates Properties PJSC	**40%**	40%
Aseel Finance PJSC	**40%**	40%

First Gulf Financial Services LLC ("FGFS"), is a limited liability company which is incorporated in the Emirate of Abu Dhabi and provides equity brokerage services in the United Arab Emirates.

Green Emirates Properties PJSC is a private joint stock company incorporated in the Emirate of Abu Dhabi and engaged mainly in the management and brokerage of real estate properties in United Arab Emirates and overseas.

Aseel Finance PJSC is a private joint stock company which is incorporated in the Emirate of Abu Dhabi and provides Islamic financial services.

Summarised financial information on the investment in associates is set out below.

	2010	*2009*
	AED 000	*AED 000*
Share of associates' balance sheet		
Assets	**1,168,066**	1,162,189
Liabilities	**651,309**	600,734
Net assets	**516,757**	561,455
Carrying amount of investment in associates	**516,757**	561,455
Share of associates' revenue and profit:		
Revenue	**5,339**	65,346
(Loss) profit for the year	**(37,803)**	29,039

As of 31 December 2010, the Bank's share of the contingent liabilities of associates amounted to AED 332,691 thousand (2009: AED 335,300 thousand).

7 INVESTMENT PROPERTIES

	2010	*2009*
	AED 000	*AED 000*
Balance at 1 January	**6,000,383**	3,991,341
Additions	**999,494**	638,444
Disposals	**(89,500)**	-
Transferred from property and equipment	**-**	1,149,568
Transferred from properties held for sale	**10,866**	-
Gain from fair value adjustment (Note 22)	**128,011**	221,030
At 31 December	**7,049,254**	6,000,383

Investment properties are stated at fair value which represents the amount at which the assets could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction at the date of valuation. As of 31 December 2009 and 2010, all investment properties were valued by independent professional valuers. The fair value of the properties has been determined either based on transactions observable in the market or based on a valuation model.

Properties under construction for future use as investment properties were transferred from property and equipment to investment properties effective 1 January 2009 upon adoption of IAS 40 (revised). This non-cash transaction has been excluded from the consolidated statement of cash flows.

Gain from fair value adjustment represents:

Gain on properties transferred from properties held for sale, previously recorded at cost	**598,498**	-
(Loss) gain on other investment properties	**(470,487)**	221,030
	128,011	221,030

During the year, certain properties held for sale were transferred from other assets to investment properties as a result of a change in their use. This transfer is a non-cash transaction which has been excluded from the consolidated statement of cash flows.

The property rental income earned by the Bank from its investment properties, that are leased out under operating leases, amounted to AED 119,224 thousand (2009: AED 117,438 thousand).

8 OTHER ASSETS

	2010	*2009*
	AED 000	*AED 000*
Interest receivable	**788,024**	646,460
Prepayments	**56,978**	137,967
Positive fair value of derivatives (Note 29)	**380,708**	664,033
Receivable under equity swaps (Note 5)	**1,578,708**	1,657,805
Receivable from sale of development properties	**-**	261,408
Receivable from sale of investment properties	**100,332**	276,808
Others	**251,437**	586,121
Total	**3,156,187**	4,230,602

Receivable under equity exchange include an interest bearing receivable arising from an equity exchange entered into by the Bank during 2008 as further discussed in Note 5.

8 OTHER ASSETS *continued*

During 2009, development properties which are held for sale with a carrying value of AED 154,512 thousand (Note 9) were reclassified from property and equipment to other assets. As of 31 December 2010, other assets include a development property which is held for sale with a carrying value of nil (2009: AED 53,952 thousand). The balance of development properties in 2009 were sold during the year at a gain of AED 178,570 thousand (2009: AED 459,978 thousand) (Note 22).

9 PROPERTY AND EQUIPMENT

	Land AED 000	*Buildings AED 000*	*Capital work-in progress AED 000*	*Motor vehicles AED 000*	*Furniture fixtures & equipment AED 000*	*Computer hardware & software AED 000*	*Total AED 000*
2010							
Cost or valuation:							
At 1 January 2010	247,688	330,511	7,310	1,458	98,480	140,768	826,215
Additions during the year	5,977	12,945	7,219	281	5,668	19,069	51,159
Cost of disposals	-	(3,159)	-	-	(14,465)	(11,952)	(29,576)
At 31 December 2010	**253,665**	**340,297**	**14,529**	**1,739**	**89,683**	**147,885**	**847,798**
Depreciation:							
At 1 January 2010	-	51,229	-	689	53,588	81,988	187,494
Provided during the year	-	17,490	-	355	18,446	24,777	61,068
Disposals	-	(693)	-	-	(13,961)	(11,780)	(26,434)
At 31 December 2010	**-**	**68,026**	**-**	**1,044**	**58,073**	**94,985**	**222,128**
Net book value:							
At 31 December 2010	**253,665**	**272,271**	**14,529**	**695**	**31,610**	**52,900**	**625,670**
2009							
Cost or valuation:							
At 1 January 2009	310,941	333,242	1,309,575	1,040	75,314	116,117	2,146,229
Additions during the year	3,481	19,876	8,614	617	26,855	25,052	84,495
Revaluation adjustment	(66,734)	-	-	-	-	-	(66,734)
Transfer to investment properties (Note 7)	-	-	(1,149,568)	-	-	-	(1,149,568)
Transfer to other assets (Note 8)	-	-	(154,512)	-	-	-	(154,512)
Cost of disposals	-	(22,607)	(6,799)	(199)	(3,689)	(401)	(33,695)
At 31 December 2009	247,688	330,511	7,310	1,458	98,480	140,768	826,215
Depreciation:							
At 1 January 2009	-	38,275	-	594	37,074	58,026	133,969
Provided during the year	-	18,059	-	294	18,722	24,349	61,424
Disposals	-	(5,105)	-	(199)	(2,208)	(387)	(7,899)
At 31 December 2009	-	51,229	-	689	53,588	81,988	187,494
Net book value:							
At 31 December 2009	247,688	279,282	7,310	769	44,892	58,780	638,721

9 PROPERTY AND EQUIPMENT *continued*

During 2009 the Bank revalued plots of land held for its own use to their estimated fair value based on professional valuations performed by independent real estate valuers. The surplus on revaluation of certain plots of AED 16,824 thousand was transferred to the revaluation reserve which is not available for distribution. The decrease in carrying amounts of certain plots of land as a result of revaluation of AED 83,558 thousand was recorded in the income statement in 2009 (Note 22).

10 DUE TO BANKS

	2010 ***AED 000***	*2009 AED 000*
Current and demand deposits	**193,483**	116,512
Deposits maturing within one year	**1,333,603**	1,824,055
Total	**1,527,086**	1,940,567

As of 31 December 2010, deposits maturing within one year include a deposit of AED 410,656 thousand (2009: AED 398,491 thousand) from overseas banks held against the sale of debt securities with arrangements to repurchase them at a fixed future date.

11 CUSTOMERS' DEPOSITS

	2010 ***AED 000***	*2009 AED 000*
Current accounts	**7,886,770**	5,769,838
Saving accounts	**896,685**	193,328
Time deposits	**78,684,354**	71,007,287
Call and other deposits	**11,274,127**	9,451,453
Total	**98,741,936**	86,421,906

As of 31 December 2010, time deposits include deposits of AED 9,177,889 thousand (2009: AED 7,386,192 thousand) from overseas financial institutions held against the sale of debt securities with arrangements to repurchase them at a fixed future date.

In December 2006, the Bank received an initial deposit of AED 5 billion from the Government of Abu Dhabi (the "Government") to fund an interest-free housing loans scheme for UAE Nationals and is recorded in call and other deposits. The scheme is being administered by the Bank based on various terms and conditions agreed with the Government. As of 31 December 2010, the Government time deposit amounted to AED 8,754 million (2009: AED 6,873 million) and housing loans amounting to AED 8,344 million (2009: AED 6,416 million) were disbursed by the Bank. Interest is payable on this Government deposit at market rates based on the principal amount net of loan disbursements made.

During the year, the Abu Dhabi Government deposit increased by AED 3,323,832 thousand. The increase was partially offset by the waiver of AED 1,442,726 thousand representing a discount of 25% granted to nearly 3,000 borrowers as further discussed in Note 4. This is a non-cash transaction which has been excluded from the statement of cash flows.

As of 31 December 2010, the top 5 depositors accounted for 29% of total customer deposits (2009: 32%).

As further disclosed in Note 12, deposits of AED 4,510,087 thousand from the U.A.E. Federal Government were re-categorised as a loan as of 31 December 2009.

12 TERM LOANS

	2010 ***AED 000***	*2009* *AED 000*
Syndicated loan	**3,030,225**	3,030,225
Bank loans	**1,928,325**	550,950
Euro medium term note	**1,722,820**	1,728,700
Federal government loan	**4,510,087**	4,510,087
Repurchase agreements	**532,218**	-
	11,723,675	9,819,962

Syndicated Loan:
During 2007, the Bank obtained a loan of US$ 825 million (equivalent of AED 3,030 million) from a syndicate comprising of several foreign and local banks. The loan is repayable in full in November 2012. The loan accrues interest at the rate of LIBOR plus a margin of 0.275% per annum plus mandatory cost calculated by the Facility Agent as weighted average of the Lender's additional cost rates, which are payable quarterly. The loan is subject to various terms, covenants and conditions. Specifically, the Bank should ensure that its capital adequacy ratio shall not at any time be less than the Basel minimum capital requirements as implemented in the U.A.E. under the guidelines of the Central Bank.

Bank Loans:
Bank loans comprise of several borrowings obtained from other commercial banks as follows:

Loan no.	Year obtained	Loan amount US$ 000	Loan amount AED 000	Maturity	Interest
1	2009	150,000	550,950	December 2011	2.85%
2	2010	150,000	550,950	April 2012	Libor + 150 bps
3	2010	150,000	550,950	May 2012	Libor + 165 bps
4	2010	75,000	275,475	June 2012	Libor + 165 bps
		525,000	1,928,325		

Euro Medium Term Note:
During the prior year, the Bank issued a 3 year Euro Medium Term Note (EMTN) of US$ 500 million (equivalent of AED 1,837 million). The notes are due in November 2012 and carry a coupon rate of 4% per annum payable semi-annually in arrears. At 31 December 2010, EMTN notes with a nominal value of US$ 30 million (2009: US$ 28 million) were repurchased by the Bank.

Federal Government Loan:
As of 31 December 2008, customer deposits included deposits of AED 4,510,087 thousand placed by the U.A.E. Federal Government (the "Lender") for a period of 3-5 years. During 2009 these deposits were re-categorised as a subordinated loan. The loan is eligible as Tier 2 Capital for the purposes of calculation of capital adequacy ratio as per the Basel II guidelines implemented by the Central Bank of the UAE.

As per the terms, the loan is subordinated to all creditors other than junior creditors and the equity shareholders of the Bank. The loan bears a fixed interest rate of 4% per annum for first two years and steps up to 4.5% per annum and 5% per annum in the third and fourth years and from fifth year onwards at 5.25% p.a. Interest is payable on a quarterly basis. The loan matures on 31 December 2016.

12 TERM LOANS *continued*

Federal Government Loan: *continued*
The agreement contains certain conditions relating to the Bank's minimum Tier 1 Capital requirement and also stipulates that the Lender has the right at its sole discretion to convert the loan amount together with accrued interest into share capital in case of breach of agreement by the Bank.

The Bank has the option at any time during the option period to repay the loan in whole or in part subject to meeting certain conditions.

Repurchase Agreements:
During 2010, the Bank entered into several transactions with a foreign bank to obtain financing against the sale of debt securities, amounting to AED 532,218 thousand with arrangements to repurchase them at a fixed future date. The amount and maturity of each transaction are as follows:

No.	Amount US$ 000	Amount AED 000	Maturity
1	1,800	6,612	2-Aug-12
2	18,000	66,115	1-Aug-13
3	54,900	201,647	8-Apr-14
4	13,500	49,585	8-Oct-14
5	40,500	148,756	25-Oct-17
6	7,200	26,446	1-Aug-18
7	9,000	33,057	8-Apr-19
	144,900	532,218	

The Bank has not had any defaults of principal, interest or other breaches with regard to all liabilities during 2010 and 2009.

13 OTHER LIABILITIES

	2010 ***AED 000***	*2009* *AED 000*
Interest payable	**484,011**	367,571
Accrued expenses	**205,759**	150,396
Provisions for staff benefits and other expenses (Note 14)	**214,834**	219,352
Accounts payable and sundry creditors	**1,274,671**	1,427,805
Advances received on sale of investment properties	**1,105,449**	1,071,006
Payable in respect of acquisition of investment properties	**251,345**	239,872
Negative fair value of derivatives (Note 29)	**516,474**	718,584
Others	**81,616**	192,754
Total	**4,134,159**	4,387,340

14 PROVISION FOR STAFF BENEFITS AND OTHER EXPENSES

The movement in the provision was as follows:

	2010	*2009*
	AED 000	*AED 000*
At 1 January	**219,352**	190,913
Arising during the year	**144,110**	173,304
Utilised	**(148,628)**	(144,865)
At 31 December	**214,834**	219,352

15 SHARE CAPITAL

	Authorised, issued and fully paid	
	2010	*2009*
	AED 000	*AED 000*
Ordinary shares of AED 1 each	**1,375,000**	1,375,000

16 TREASURY SHARES

During 2008, the Bank received an approval from the Securities & Commodities Authority of the United Arab Emirates to buy back up to 137.5 million of its own shares. A total of 75 million shares were acquired as of 31 December 2010 (2009: 21 million shares).

In its meeting held on 6 January 2011, the Board of Directors of the Bank resolved to propose the distribution of the 75 million treasury shares to the shareholders of the Bank, subject to the competent authorities' approval and the approval of the shareholders of the Bank during the forthcoming Annual General Assembly meeting.

17 CAPITAL NOTES

Following approval of the Extraordinary General Assembly meeting held on 25 February 2009, the Board of Directors resolved on 26 February 2009 to issue capital notes (the "Notes") to the Department of Finance, Government of Abu Dhabi amounting to AED 4 billion. The Notes are subject amongst other terms, to the following:

- The Notes have a par value of AED 10 million each;
- The Notes are perpetual securities in respect of which there is no fixed redemption date;
- The Notes constitute direct, unsecured and subordinated obligations of the Bank;
- The Notes holder is entitled to a non-cumulative semi-annual fixed interest coupon at the rate of 6% per annum until February 2014 and floating interest rate of EIBOR plus 2.3% per annum thereafter. The Bank may at its sole discretion elect not to make an interest coupon payment. Any interest payment made will be reflected in the statement of changes in equity. During the year, interest payments amounted to AED 240 million (2009: AED 120 million).

18 APPROPRIATIONS

Legal reserve

In accordance with the U.A.E. Commercial Companies Law No. 8 of 1984 (as amended) and the Articles of Association of the Bank, 10% of profit for the year of the Bank shall be transferred to the legal reserve until it reaches 50% of the nominal value of the paid up share capital. As of 31 December 2010, the legal reserve exceeded 50% of the share capital and accordingly, the Board of Directors has proposed that no transfers from the net profit are made to the legal reserve. The legal reserve is not available for distribution.

Special reserve

As required by Article 82 of Union Law No. 10 of 1980, 10% of the profit for the year shall be transferred to the special reserve. The Bank may resolve to discontinue such annual transfers when the reserve equals 50% of the nominal value of the paid up share capital. As of 31 December 2010, the special reserve exceeded 50% of the share capital and accordingly, the Board of Directors has proposed that no transfers from the net profit are made to the special reserves. The special reserve is not available for distribution.

General reserve

Transfers to the general reserve are made upon the recommendation of the Board of Directors. This reserve may only be used for the purposes recommended by the Board of Directors and approved by the shareholders.

No transfers are proposed by the Board of Directors (2009: AED nil) from the profit for the year to the general reserve.

Dividends

	2010	*2009*
	AED 000	*AED 000*
Cash dividends proposed in respect of 2010: 60 fils (2009: Declared 50 fils)	**900,000**	677,000
Dividend on ordinary shares paid during the year	**657,095**	460,081

Cash dividends proposed in respect of 2010 of 60 fils per share are based on the outstanding share capital, inclusive of the treasury shares which are proposed to be distributed (Note 16), in addition to the shares that would be issued upon the conversion of the mandatory convertible bonds (Note 19). Cash dividends declared in respect of 2009 of 50 fils per share were based on the outstanding share capital, exclusive of treasury shares.

	2010	*2009*
Proposed distribution of the treasury shares (Note 16) ('000's)	**75,000**	-

19 MANDATORY CONVERTIBLE BONDS

Following approval of the Extraordinary General Assembly meeting held on 25 February 2008, the Board of Directors resolved on 21 July 2008 to issue non-redeemable mandatory convertible bonds (the "Bonds") amounting to AED 3.6 billion. The Bonds are subject amongst other terms, to the following:

- The Bonds have a par value of AED 10 million each;
- These Bonds are subject to compulsory conversion into shares after 3 years from the date of their issuanceunless converted earlier;
- These Bonds would automatically be converted at a conversion price of AED 28.8 at the conversion date;
- The bonds holders are entitled to non cumulative interest at the rate of 3 month EBOR plus 1% which is subject to the approval and declaration of the Board of Directors at each interest due date. Any interest payment made will be reflected in the statement of changes in equity.

19 MANDATORY CONVERTIBLE BONDS *continued*

During July 2008, the Bank signed agreements with the bondholders to issue the Bonds with a face value of AED 3.6 billion and collected the related bond proceeds. During the year, the Board of Directors resolved to pay the interest of AED 115,082 thousand (2009: AED 159,791 thousand).

Subsequent to 31 December 2010, the Board of Directors of the Bank resolved to pay interest of AED 59,490 thousand for the period to 22 January 2011 and approved a plan to early convert the Bonds in February 2011. The Bank obtained the approval of the majority of the bonds holders for the early conversion. The above is subject to the approval of the competent authorities.

Upon conversion of the mandatory convertible bonds, 125 million ordinary shares shall be issued. The conversion will have no impact on the equity of the Bank.

20 INTEREST INCOME AND INCOME FROM ISLAMIC FINANCING

	2010 ***AED 000***	*2009* *AED 000*
Interest income		
Loans and advances	**5,972,228**	5,838,842
Deposits with banks and financial institutions	**79,365**	85,130
Investment securities		
- Available for sale	**33,637**	34,280
- Held to maturity	**127,327**	140,473
Notional interest on impaired loans and advances (Note 4)	**26,906**	1,610
Total	**6,239,463**	6,100,335
Income from Islamic financing	**339,473**	389,638
Interest income and income from Islamic financing	**6,578,936**	6,489,973

21 INTEREST EXPENSE AND ISLAMIC FINANCING EXPENSE

	2010 ***AED 000***	*2009* *AED 000*
Interest expense		
Customers' deposits	**1,898,193**	2,344,503
Bank deposits	**21,760**	111,785
Term loans	**313,082**	44,718
Total	**2,233,035**	2,501,006
Islamic financing expense	**88,702**	155,235
Interest expense and Islamic financing expense	**2,321,737**	2,656,241

22 OTHER OPERATING INCOME

	2010 ***AED 000***	*2009* *AED 000*
Investment income:		
Gains on disposal of available for sale investments	**63,731**	49,683
(Losses) gains on disposal of investments carried at fair value through income statement	**(15,572)**	28,582
Change in fair value of investments carried at fair value through income statement	**(10,629)**	(32,029)
Other investment income	**7,279**	10,009
Total investment income	**44,809**	56,245
Commission income	**471,719**	360,703
Fee income	**736,759**	529,324
Fees and commissions on credit cards	**266,605**	298,886
Brokerage and fund management fee income	**11,454**	18,487
Foreign exchange income	**91,339**	122,501
Derivative income	**25,042**	221,235
Gain on revaluation of investment properties (Note 7)	**128,011**	221,030
Loss on revaluation of property and equipment (Note 9)	**-**	(83,558)
Gain on disposal of development properties (Note 8)	**178,570**	459,978
Loss on sale of property and equipment	**(3,074)**	(24,385)
Rental income (Note 7)	**119,224**	117,438
Other income	**15,130**	3,359
Total	**2,085,588**	2,301,243

23 GENERAL AND ADMINISTRATIVE EXPENSES

	2010 ***AED 000***	*2009* *AED 000*
Staff costs	**556,259**	579,697
Depreciation	**61,068**	61,424
Other general and administrative expenses	**504,221**	439,462
Total	**1,121,548**	1,080,583
Number of employees	***956***	*969*

24 PROVISION FOR IMPAIRMENT OF LOANS AND ADVANCES

	2010 ***AED 000***	*2009* *AED 000*
Provision for impaired loans and advances (Note 4)	**1,656,233**	1,702,038
Recoveries (Note 4)	**(17,146)**	(21,572)
	1,639,087	1,680,466

25 BASIC AND DILUTED EARNINGS PER SHARE

Basic earnings per share amounts for the year are calculated by dividing profit for the year attributable to ordinary equity holders of the Bank by the weighted average number of ordinary shares outstanding during the year.

Diluted earnings per share amounts are calculated by dividing the net profit attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year, adjusted for the effects of dilutive instruments.

The following reflects the income and share data used in the earnings per share computations:

	2010	*2009*
Profit for the year attributable to ordinary equity holders (AED 000)	**3,420,425**	3,310,335
Deduct: Interest on mandatory convertible bonds (AED 000)	**(115,567)**	(138,162)
Deduct: Interest on capital notes (AED 000)	**(156,973)**	(120,000)
Profit attributable to ordinary equity holders (AED 000)	**3,147,885**	3,052,173
Weighted average number of ordinary shares in issue (000's)	**1,461,201**	1,482,148
Basic and diluted earnings per share (AED)	**2.15**	2.06

Shares related to mandatory convertible bonds are included in the weighted average number of ordinary shares from the date the related bonds were issued. Treasury shares are excluded from the date they were purchased.

26 CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the statement of cash flows comprise the following balance sheet amounts:

	2010 ***AED 000***	*2009* *AED 000*
Cash and balances with U.A.E. Central Bank	**8,526,300**	5,546,970
Due from banks and financial institutions	**10,267,516**	4,626,549
	18,793,816	10,173,519
Less: Balances with U.A.E. Central Bank maturing after three months of placement	**4,500,000**	3,200,000
Less: Due from banks and financial institutions maturing after three months of placement	**786,524**	1,083,250
Cash and cash equivalents	**13,507,292**	5,890,269

Geographic analysis of due from banks and financial institutions is as follows:

	2010 ***AED 000***	*2009* *AED 000*
Within U.A.E	**3,875,048**	1,038,250
Outside U.A.E	**6,392,468**	3,588,299
	10,267,516	4,626,549

27 RELATED PARTY TRANSACTIONS

In the ordinary course of its activities, the Bank enters into transactions with related parties, comprising directors, major shareholders, key management and their related concerns, at commercial interest and commission rates. The Bank obtains collateral, including charges over real estate properties and securities, the extent of which is dependent on the Bank's assessment of the credit risk of the related party. All loans and advances to related parties are performing advances and are free of any provision for impaired loans and advances.

The following transactions have been entered into with related parties:

	2010 ***AED 000***	*2009* *AED 000*
Board members, key management personnel		
Loans and advances	**13,373,664**	13,178,541
Customers' deposits	**4,339,102**	4,007,450
Commitments and contingent liabilities	**2,870,616**	4,109,237
Interest and commission income	**835,111**	795,259
Interest expense and Islamic financing expense	**145,460**	131,915
Associates		
Loans and advances to customers	**785,497**	701,163
Customers' deposits	**158,095**	305,141
Commitments and contingent liabilities	**762,970**	769,491
Interest and commission income	**37,105**	31,319
Interest expense and Islamic financing expense	**2,865**	4,508
Compensation of key management personnel:		
Short term employee benefits	**83,259**	74,628
Post employment benefits	**8,316**	11,621

In addition to amounts disclosed above, Board of Directors remuneration amounting to AED 48,000 thousand (2009: AED 66,000 thousand) has been included in the consolidated statement of other comprehensive income and is subject to the approval of the shareholders at the forthcoming Annual General Meeting.

28 COMMITMENTS AND CONTINGENT LIABILITIES

The Bank has the following commitments and contingent liabilities at 31 December:

	2010 ***AED 000***	*2009* *AED 000*
Contingent liabilities:		
Acceptances	**1,697,318**	1,215,516
Letters of credit	**16,365,265**	13,885,093
Guarantees	**43,808,835**	40,954,811
	61,871,418	56,055,420
Commitments:		
Commitments to extend credit maturing within one year	**2,849,407**	3,538,148
Commitments for future capital expenditure	**2,514,650**	3,581,014
Commitments for future private equity investments	**799,874**	586,729
	6,163,931	7,705,891
Total commitments and contingent liabilities	**68,035,349**	63,761,311

28 COMMITMENTS AND CONTINGENT LIABILITIES *continued*

Credit-related commitments include commitments to extend credit, standby letters of credit, guarantees and acceptances which are designed to meet the requirements of the Bank's customers.

Letters of credit, guarantees and acceptances commit the Bank to make payments on behalf of customers in the event of a specific act such as the export or import of goods or upon the failure of the customer to perform under the terms of a contract. These contracts would have market risk if issued or extended at a fixed rate of interest. However, these contracts are primarily made at a floating rate.

Commitments to extend credit represent contractual irrevocable commitments to make loans and revolving credits. Commitments generally have fixed expiry dates, or other termination clauses. Since commitments may expire without being drawn upon, the total contract amounts do not necessarily represent future cash requirements. Previously, all commitments were disclosed. The comparative figure has been revised to include only irrevocable contracts to make loans and revolving credits.

29 DERIVATIVES

The table below shows the positive and negative fair values of derivative financial instruments, together with the notional amounts analysed by term to maturity. The notional amount is the amount of a derivative's underlying asset, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

	Positive fair value AED 000	*Negative fair value AED 000*	*Notional amount Total AED 000*	*Notional amounts by term to maturity*			
				Within 3 months AED 000	*3-12 months AED 000*	*1-5 years AED 000*	*More than 5 years AED 000*
At 31 December 2010							
Derivatives held for trading:							
Forward foreign exchange contracts	**20,324**	**25,341**	**5,936,770**	**4,661,193**	**1,168,522**	**107,055**	**-**
Interest rate swaps, caps and collars	**337,953**	**367,771**	**21,380,373**	**-**	**1,132,024**	**5,114,383**	**15,133,966**
Credit default swaps	**-**	**3,229**	**173,460**	**-**	**173,460**	**-**	**-**
Commodity linked swaps	**-**	**35,371**	**734,600**	**-**	**-**	**734,600**	**-**
Equity swaps	**4,850**	**4,642**	**263,811**	**-**	**99,885**	**-**	**163,926**
Swaptions	**3,454**	**8,031**	**881,520**	**-**	**881,520**	**-**	**-**
Options	**7,914**	**8,909**	**2,569,873**	**2,386,223**	**183,650**	**-**	**-**
Futures	**165**	**-**	**132**	**132**	**-**	**-**	**-**
	374,660	**453,294**	**31,940,539**	**7,047,548**	**3,639,061**	**5,956,038**	**15,297,892**
Derivatives held as a fair value hedge:							
Interest rate swaps	**6,048**	**63,180**	**611,428**	**-**	**11,428**	**600,000**	**-**
Total	**380,708**	**516,474**	**32,551,967**	**7,047,548**	**3,650,489**	**6,556,038**	**15,297,892**
At 31 December 2009							
Derivatives held for trading:							
Forward foreign exchange contracts	41,864	39,096	4,197,659	1,690,999	2,506,660	-	-
Interest rate swaps, caps and collars	468,431	481,811	28,752,573	-	497,527	6,739,413	21,515,633
Credit default swaps	-	6,486	173,460	-	-	173,460	-
Cross currency interest rate swaps	98,949	98,949	830,531	-	830,531	-	-
Equity swaps	43,018	43,018	635,454	203,636	-	431,818	-
Swaptions	5,615	6,746	3,360,795	2,846,575	-	514,220	-
Options	1,227	1,457	378,860	378,860	-	-	-
Futures	2,671	-	383,056	383,056	-	-	-
	661,775	677,563	38,712,388	5,503,126	3,834,718	7,858,911	21,515,633
Derivatives held as a fair value hedge:							
Interest rate swaps	2,258	41,021	657,143	-	-	257,143	400,000
Total	664,033	718,584	39,369,531	5,503,126	3,834,718	8,116,054	21,915,633

29 DERIVATIVES *continued*

Derivative product types

In the ordinary course of business the Bank enters into various types of transactions that involve financial instruments. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in price in one or more underlying financial instrument, reference rate or index. Derivative financial instruments, which the Bank enters into, include forwards, options and swaps, futures and swaptions.

Forwards and futures are contractual agreements to either buy or sell a specified currency, commodity or financial instrument at a specific price and date in the future. Forwards are customised contracts transacted in the over-the-counter market.

Swaps are contractual agreements between two parties to exchange interest or foreign currency differentials based on a specific notional amount. For interest rate swaps, counterparties generally exchange fixed and floating rate interest payments based on a notional value in a single currency. For currency swaps, fixed or floating interest payments as well as notional amounts are exchanged in different currencies.

Credit default swaps transfer the credit exposure of debt securities between parties. The buyer of a credit default swap receives credit protection, whereas the seller of the swap guarantees the credit worthiness of the product. Accordingly, the risk of default is transferred from the holder of the debt security to the seller of the swap.

Options are contractual agreements that convey the right, but not the obligation, to either buy or sell a specific amount of a commodity or financial instrument at a fixed price, either at a fixed future date or at any time within a specified period.

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive fair value of instruments that are favourable to the Bank. The Bank enters into derivative contracts with a number of financial institutions of good credit rating.

Derivatives held for trading purposes

Most of the Bank's derivative trading activities relate to offering products to customers at competitive prices in order to enable them to transfer, modify or reduce current and expected risks and manage their market positions with the expectation of making profit from favourable movements in prices or rates.

Derivatives held for hedging purposes

As part of its asset and liability management the Bank uses derivatives for hedging purposes in order to reduce its exposure to interest rate risks.

The total loss on interest rate swaps held as fair value hedges amounted to AED 18,369 thousand (2009: gain of AED 20,282 thousand). A corresponding gain/loss has been adjusted against the carrying value of the related hedged asset.

30 SEGMENTAL INFORMATION

A segment represents a distinguishable component of the Bank that is engaged either in providing products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments.

Operating segment information

For management purposes the Bank is organised into five operating segments:

Corporate banking - Principally handling loans and other credit facilities and deposit and current accounts for corporate and institutional customers and high net worth individuals.

Treasury, including investment operations - Principally providing money market, trading and treasury services, as well as the management of the Bank's funding operations by use of government securities and placements and deposits with other banks.

Retail banking - Principally handling individual customers' deposits, and providing consumer type loans, overdrafts, credit cards facilities and funds transfer facilities.

Real estate activities – Principally the acquisition, leasing, brokerage, management and resale of properties carried out through its subsidiaries and associate companies.

Other operations comprising mainly the Head Office including unallocated costs, subsidiaries and associates other than above categories.

Operating segmental information for the year ended 31 December 2010 was as follows:

	Corporate banking AED 000	*Treasury* AED 000	*Retail banking* AED 000	*Real estate* AED 000	*Other operations* AED 000	*Total* AED 000
Assets	**61,887,236**	**31,708,437**	**32,952,632**	**7,561,144**	**6,648,555**	**140,758,004**
Liabilities	**78,013,633**	**10,959,356**	**16,906,665**	**1,432,524**	**8,814,678**	**116,126,856**
Operating income excluding associates	**2,424,210**	**430,665**	**2,849,865**	**439,687**	**198,360**	**6,342,787**
Net interest income and income from Islamic financing	**1,751,235**	**304,169**	**2,037,619**	**-**	**164,176**	**4,257,199**
Share of losses of associates	**-**	**-**	**-**	**(26,192)**	**(11,611)**	**(37,803)**
Provision for impairment of loans and advances	**(650,810)**	**-**	**(807,728)**	**-**	**(180,549)**	**(1,639,087)**
Profit attributable to equity holders of the Bank	**1,481,249**	**376,873**	**1,521,826**	**262,207**	**(221,730)**	**3,420,425**
Other segment information						
Investment in associates	**-**	**-**	**-**	**307,644**	**209,113**	**516,757**
Capital expenditure	**-**	**-**	**-**	**999,843**	**50,810**	**1,050,653**
Depreciation	**-**	**-**	**-**	**403**	**60,665**	**61,068**

30 SEGMENTAL INFORMATION *continued*

Operating segment information for the year ended 31 December 2009 was as follows:

	Corporate banking AED 000	*Treasury* AED 000	*Retail banking* AED 000	*Real estate* AED 000	*Other operations* AED 000	*Total* AED 000
Assets	63,406,123	22,012,894	27,052,053	7,065,561	5,935,912	125,472,543
Liabilities	72,355,198	9,330,598	11,116,360	1,389,789	8,377,830	102,569,775
Operating income excluding associates	2,126,579	754,909	2,405,484	797,808	50,195	6,134,975
Net interest income and income from Islamic financing	1,586,487	430,034	1,715,093	-	102,118	3,833,732
Share of profits (losses) of associates	-	-	-	57,566	(28,527)	29,039
Provision for impairment of loans and advances	(886,230)	-	(614,236)	-	(180,000)	(1,680,466)
Impairment of available for sale investments	-	(90,000)	-	-	-	(90,000)
Profit attributable to equity holders of the Bank	938,977	609,312	1,295,290	842,435	(375,679)	3,310,335
Other segment information						
Investment in associates	-	-	-	324,237	237,218	561,455
Capital expenditure	-	-	-	638,515	84,424	722,939
Depreciation	-	-	-	324	61,100	61,424

The Bank's operations in UAE contribute the majority of its revenues. Also, the Bank's non-current assets in UAE represent a significant portion of its total non-current assets.

31 RISK MANAGEMENT

31.1 Introduction

Risk is inherent in the Bank's activities but it is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her responsibilities. The Bank is exposed to credit risk, liquidity risk and market risk, the latter being subdivided into trading and non-trading risks. It is also subject to operating risks.

Risk management structure

In line with the best practice followed in world-class financial institutions the overall risk management responsibility lies with the Board of Directors of the Bank under which there is a Risk and Compliance Committee (RCMC) comprising of three board members and the Chief Risk Officer who take the responsibility for identifying and controlling the risks.

Board of Directors

The overall risk management responsibility lies with the Board of Directors of the Bank. They provide the direction, strategy and oversee all the activities through various committees.

Audit Committee

The Audit Committee comprises two independent members who represent the Board of Directors of the Bank. The committee has the overall responsibility of assessing the internal audit findings, directing implementation of audit recommendations and overseeing the internal audit activities undertaken within the internal control environment and regulatory compliance framework of the Bank. Duties and responsibilities of the Audit Committee are governed by a formally approved Audit Committee Charter which is in line with best practice and control governance.

Risk & Compliance Management Committee (RCMC)

The RCMC comprises two independent members who represent the Board of Directors of the Bank. The objective of RCMC is to assist the Board of Directors in fulfilling its corporate governance and oversight responsibilities by establishing, monitoring and reviewing internal control, compliance and risk management processes and systems within the Bank.

Asset Liability Committee

Asset Liability Management (ALM) process is an act of planning, acquiring, and directing the flow of funds through an organization. The ultimate objective of this process is to generate adequate and stable earnings and to steadily build an organization's equity over time, while taking measured business risks. The bank has a well defined ALM policy duly describing the objective, role and function of Asset Liability Committee (ALCO). This process revolves around ALCO, the body within the Bank that holds the responsibility to make strategic decisions to manage balance sheet related risks. The ALCO consisting of the bank's senior management including the Managing Director and Chief Executive Officer (CEO) meets at least once a month.

Credit Committee

All the business proposals of clients are approved through a committee empowered by the Executive Committee of the bank through the CEO. The Bank has a Credit Committee which approves all the funded and non-funded limits.
The committee consists of senior management personnel including the CEO. The approval process and the authorities vested with the committee members are well defined in a credit policy manual. The policy manual enumerates various procedures to be followed by a relationship manager in bringing a relationship to the Bank. Various aspects of the credit approval process have been defined in the policy which enables efficient approval of the proposals.

Investment and Management Committee

Investment and Management Committee (IMCO) is a management level committee with representations from investment, financial control and risk management functions. This committee is entrusted with the responsibility of approving limits for investments and in approving individual investment proposals within those limits. It ensures that the investment decisions conform to the guidelines laid down in the investment policy of the Bank and are within overall limits prescribed by the Board of Directors. The committee meets to discuss new proposals for investments as well as analyse the performance of existing investments. The committee also sets guidelines for investments.

31 RISK MANAGEMENT *continued*

31.1 Introduction *continued*

Risk Management Unit (RMU)

RMU is an independent unit reporting to the CEO and the RCMC. RMU is responsible for identifying, measuring, monitoring and controlling the risks arising out of various activities in the Bank by the different business units. The process is through partnering with the units in identifying and addressing the risks by setting limits and reporting on the utilization thereof.

RMU also monitors compliance with the regulatory procedures and anti-money laundering monitoring procedures of the Bank.

Bank Treasury

Bank Treasury is responsible for managing the Bank's assets and liabilities and the overall financial structure. It is also primarily responsible for managing the funding and liquidity risks of the Bank.

Internal Audit

Risk management processes throughout the Bank are audited annually by the internal audit function that examines both the adequacy of the procedures and the Bank's compliance with the procedures. Internal Audit discusses the results of all assessments with management, and reports its findings and recommendations to the Audit Committee. The Head of Internal Audit has direct reporting lines to the Audit Committee in securing his independence and objectivity in all audit engagements undertaken within the Bank.

Risk measurement and reporting systems

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries. In addition, the Bank monitors and measures the overall risk bearing capacity in relation to the aggregate risk exposure across all risk types and activities.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify early risks. This information is presented and explained to the RCMC, and the head of each business division. The report includes aggregate credit exposure, limit exceptions and risk profile changes. On a monthly basis detailed reporting of industry, customer and geographic risks takes place. Senior management assesses the appropriateness of the provision for credit losses on a quarterly basis. RCMC receives a comprehensive risk report once a quarter which is designed to provide all the necessary information to assess and conclude on the risks of the Bank.

For all levels throughout the Bank, specifically tailored risk reports are prepared and distributed in order to ensure that all business divisions have access to extensive, necessary and up-to-date information.

Risk mitigation

As part of its overall risk management, the Bank uses derivatives and other instruments to manage exposures resulting from changes in interest rates and foreign currencies.

The risk profile is assessed before entering into hedge transactions, which are authorized by the appropriate level of seniority within the Bank. The effectiveness of hedges is assessed by the RMU. The effectiveness of all the hedge relationships is monitored by the RMU monthly. In situations of ineffectiveness, the Bank will enter into a new hedge relationship to mitigate risk on a continuous basis.

The Bank actively uses collateral to reduce its credit risks.

31 RISK MANAGEMENT *continued*

31.1 Introduction *continued*

Risk concentration

Concentrations of credit risk arise when a number of counter-parties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations of credit risk indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographic location.

The Bank seeks to manage its credit risk exposure through diversification of lending activities to avoid undue concentrations of risks with individuals or groups of customers in specific industries or businesses.

Details of the composition of the loans and advances portfolio are provided in Note 4. Information on credit risk relating to investments is provided in Note 31.2.

31.2 Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Bank attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counter-parties, and continually assessing the creditworthiness of counter-parties. In addition to monitoring credit limits, the Bank manages the credit exposure relating to its trading activities by entering into master netting agreements and collateral arrangements with counter-parties in appropriate circumstances, and limiting the duration of exposure. In certain cases, the Bank may also close out transactions or assign them to other counter-parties to mitigate credit risk.

The Bank has established a credit quality review process to provide early identification of possible changes in the creditworthiness of counterparties, including regular collateral revisions. The credit quality review process allows the Bank to assess the potential loss as a result of the risks to which it is exposed and take corrective action.

Derivative financial instruments

Credit risk arising from derivative financial instruments is, at any time, limited to those with positive fair values, as recorded in the balance sheet.

Credit-related commitments risks

The Bank makes available to its customers guarantees which may require that the Bank makes payments on their behalf. Such payments are collected from customers based on the terms of the letters of guarantee. They expose the Bank to similar risks to loans and these are mitigated by the same control processes and policies.

31 RISK MANAGEMENT *continued*

31.2 Credit risk *continued*

Maximum exposure to credit risk without taking account of any collateral and other credit enhancements

The table below shows the maximum exposure to credit risk for the components of the balance sheet, including derivatives. The maximum exposure is shown gross, before the effect of mitigation through the use of master netting and collateral agreements.

	Notes	***Gross maximum exposure 2010 AED 000***	*Gross maximum exposure 2009 AED 000*
Balances with U.A.E. Central Bank	3	**8,269,773**	5,310,347
Due from banks and financial institutions	26	**10,267,516**	4,626,549
Loans and advances	4	**95,628,016**	90,385,885
Non-trading investments	5	**13,254,509**	11,914,949
Other assets	8	**3,099,209**	4,092,635
Total		**130,519,023**	116,330,365
Contingent liabilities	28	**61,871,418**	56,055,420
Commitments	28	**2,849,407**	3,538,148
Total		**64,720,825**	59,593,568
Total credit risk exposure		**195,239,848**	175,923,933

Where financial instruments are recorded at fair value the amounts shown above represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

Credit risk concentration

Concentration of risk is managed by customer/counterparty, by geographical region and by industry sector. The funded and non-funded credit exposure to the top 5 borrowers as of 31 December 2010 was AED 19,834,470 thousand (2009: AED 18,855,094 thousand) before taking account of collateral or other credit enhancements and AED 11,540,558 thousand (2009: AED 9,328,980 thousand) net of such protection.

The distribution of the Bank's financial assets by geographic region and industry sector is as follows:

	2010 AED 000	*2009 AED 000*
Geographic region		
UAE	**111,444,843**	100,782,613
Other Arab countries	**4,183,312**	3,063,536
Europe	**4,619,727**	3,899,769
USA	**9,432,489**	7,961,941
Rest of the world	**838,652**	622,506
Financial assets subject to credit risk	**130,519,023**	116,330,365
Other assets	**10,238,981**	9,142,178
Total assets	**140,758,004**	125,472,543

31 RISK MANAGEMENT *continued*

31.2 Credit risk *continued*

Credit risk concentration *continued*

	2010 ***AED 000***	*2009* *AED 000*
Industry sector		
Commercial and business	**63,001,892**	62,643,622
Personal	**32,952,630**	27,051,409
Government	**19,598,113**	14,823,540
Banks and financial institutions	**12,807,171**	9,552,316
Others	**2,159,217**	2,259,478
Financial assets subject to credit risk	**130,519,023**	116,330,365
Other assets	**10,238,981**	9,142,178
Total assets	**140,758,004**	125,472,543

Collateral and other credit enhancements

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are implemented regarding the acceptability of types of collateral and valuation parameters.

The main types of collateral obtained are as follows:

- For repurchase and reverse repurchase transactions, cash or securities,
- For commercial lending, charges over real estate properties, inventory, trade receivables and securities,
- For personal lending, assignment of salaries in favour of the Bank.

The Bank also obtains guarantees from parent companies for loans to their subsidiaries, but the benefits are not included in the above table.

Management monitors the market value of collateral, requests additional collateral in accordance with the underlying agreement, and assesses the market value of collateral obtained during its review of the adequacy of the provision for impairment losses.

It is the Bank's policy to dispose of repossessed assets, other than investment properties, in an orderly fashion. The proceeds are used to reduce or repay the outstanding claim. In general, the Bank does not occupy repossessed properties for business use.

The Bank also makes use of master netting agreements with counterparties.

31 RISK MANAGEMENT *continued*

31.2 Credit risk *continued*

Credit quality per class of financial assets

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset, based on the Bank's credit rating system. The amounts presented are gross of impairment provisions.

	Neither past due nor impaired				
	Pass grade 2010 AED 000	***Watch grade 2010 AED 000***	***Sub-standard grade 2010 AED 000***	***Past due or individually impaired 2010 AED 000***	***Total 2010 AED 000***
Cash and balances with U.A.E. Central Bank	8,269,773	-	-	-	8,269,773
Due from banks and financial institutions	10,267,516	-	-	-	10,267,516
Loans and advances	88,784,434	3,755,690	-	6,382,675	98,922,799
Other assets	3,099,209	-	-	-	3,099,209
Non-trading investments	13,254,509	-	-	-	13,254,509
Total	**123,675,441**	**3,755,690**	**-**	**6,382,675**	**133,813,806**

	Neither past due nor impaired				
	Pass grade 2009 AED 000	*Watch grade 2009 AED 000*	*Sub-standard grade 2009 AED 000*	*Past due or individually impaired 2009 AED 000*	*Total 2009 AED 000*
Cash and balances with U.A.E. Central Bank	5,310,347	-	-	-	5,310,347
Due from banks and financial institutions	4,626,549	-	-	-	4,626,549
Loans and advances	86,609,755	1,197,455	235,417	4,873,040	92,915,667
Other assets	4,092,635	-	-	-	4,092,635
Non-trading investments	11,914,949	-	-	-	11,914,949
Total	112,554,235	1,197,455	235,417	4,873,040	118,860,147

31 RISK MANAGEMENT *continued*

31.2 Credit risk *continued*

Past due loans and advances include those that are only past due by a few days. An analysis of past due loans, by age, is provided below.

Aging analysis of past due but not impaired loans

31 December 2010

	Less than 30 days AED 000	*31 to 60 days AED 000*	*61 to 90 days AED 000*	*More than 91 days AED 000*	*Total AED 000*
Past due but not impaired loans and advances	1,111,268	450,453	254,174	-	1,815,895
Past due and impaired loans and advances					6,382,675
Less:					
Past due but not impaired loans and advances					(1,815,895)
Impaired loans and advances (Note 4):					
Loans and advances under restructuring					880,000
Other loans and advances					3,686,780
					4,566,780
Impaired loans, excluding loans and advances under restructuring					**3,686,780**

31 December 2009

	Less than 30 days AED 000	*31 to 60 days AED 000*	*61 to 90 days AED 000*	*More than 91 days AED 000*	*Total AED 000*
Past due but not impaired loans and advances	1,048,595	460,690	265,936	1,647,006	3,422,227
Past due and impaired loans and advances					4,873,040
Less:					
Past due but not impaired loans and advances					(3,422,227)
Impaired loans and advances					1,450,813

See Note 4 for more detailed information with respect to the provision for impairment losses on loans and advances.

Renegotiated loans

The total carrying amount of loans and advances whose terms have been renegotiated as of 31 December 2010 amounted to AED 3,826,767 thousand (2009: AED 2,455,742 thousand).

Impairment assessment

The Bank uses an incurred loss model for the recognition of losses on impaired financial assets. This means that losses can only be recognised when objective evidence of a specific loss event has been observed. Triggering events include the following:

- Significant financial difficulty of the borrower;
- A breach of contract such as default of payment;
- If it becomes probable that the customer will enter bankruptcy or other financial reorganization; and
- Observable data that suggests that there is a decrease in the estimated future cash flows from the loans.

31 RISK MANAGEMENT *continued*

31.3 Liquidity risk and funding management

Liquidity risk is the risk that an institution will be unable to meet its funding requirements. Liquidity risk can be caused by market disruptions or a credit downgrade which may cause certain sources of funding to dry up immediately. To guard against this risk, management has diversified funding sources and assets are managed with liquidity in mind, maintaining a healthy balance of cash, cash equivalents, and readily marketable securities. In addition, the Bank also has committed lines of credit that it can access to meet liquidity needs and the Bank also maintains mandatory cash reserve deposits with the Central Bank of U.A.E. equal to 1% of customer time deposits and 14% of customer current, call and savings accounts.

Analysis of financial assets and financial liabilities by remaining contractual maturities

The table below summarises the maturity profile of the Bank's financial assets and liabilities at 31 December 2010 based on contractual maturities.

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
ASSETS					
Cash and balances with U.A.E. Central Bank	**4,026,300**	**4,500,000**	**-**	**-**	**8,526,300**
Due from banks and financial institutions	**10,212,421**	**55,095**	**-**	**-**	**10,267,516**
Loans and advances, net	**22,431,032**	**14,319,251**	**29,644,116**	**29,233,617**	**95,628,016**
Non-trading investments	**8,968,135**	**2,290,864**	**646,566**	**3,082,739**	**14,988,304**
Other assets	**3,156,187**	**-**	**-**	**-**	**3,156,187**
Financial assets	**48,794,075**	**21,165,210**	**30,290,682**	**32,316,356**	**132,566,323**
Non-financial assets					**8,191,681**
Total assets					**140,758,004**
LIABILITIES					
Due to banks	**1,527,086**	**-**	**-**	**-**	**1,527,086**
Customers' deposits	**67,548,902**	**20,205,535**	**2,233,507**	**8,753,992**	**98,741,936**
Term loans	**-**	**550,950**	**6,454,379**	**4,718,346**	**11,723,675**
Other liabilities	**4,134,159**	**-**	**-**	**-**	**4,134,159**
Total liabilities	**73,210,147**	**20,756,485**	**8,687,886**	**13,472,338**	**116,126,856**

The maturity profile of the financial assets and liabilities at 31 December 2009 was as follows:

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
ASSETS					
Cash and balances with U.A.E. Central Bank	2,346,970	3,200,000	-	-	5,546,970
Due from banks and financial institutions	4,626,549	-	-	-	4,626,549
Loans and advances, net	27,079,486	9,670,901	23,890,298	29,745,200	90,385,885
Non-trading investments	7,773,597	1,149,349	1,626,391	2,932,641	13,481,978
Other assets	4,230,602	-	-	-	4,230,602
Financial assets	46,057,204	14,020,250	25,516,689	32,677,841	118,271,984
Non-financial assets					7,200,559
Total assets					125,472,543
LIABILITIES					
Due to banks	1,390,567	550,000	-	-	1,940,567
Customers' deposits	68,981,077	8,362,910	2,205,032	6,872,887	86,421,906
Term loans	-	-	5,309,875	4,510,087	9,819,962
Other liabilities	4,387,340	-	-	-	4,387,340
Total liabilities	74,758,984	8,912,910	7,514,907	11,382,974	102,569,775

31 RISK MANAGEMENT *continued*

31.3 Liquidity risk and funding management *continued*

The table below summarises the maturity profile of the Bank's financial liabilities at 31 December 2010 based on contractual undiscounted repayment obligations, including cash flows pertaining to principal repayment and interest payable to maturity.

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
2010					
LIABILITIES					
Due to banks	**1,527,834**	**-**	**-**	**-**	**1,527,834**
Customers' deposits	**67,891,749**	**20,897,339**	**2,483,537**	**8,764,493**	**100,037,118**
Term loans	**55,342**	**829,255**	**7,508,513**	**4,964,666**	**13,357,776**
Other liabilities	**4,134,159**	**-**	**-**	**-**	**4,134,159**
Total liabilities	**73,609,084**	**21,726,594**	**9,992,050**	**13,729,159**	**119,056,887**
2009					
LIABILITIES					
Due to banks	1,401,802	568,028	-	-	1,969,830
Customers' deposits	69,355,260	8,773,350	2,244,620	6,877,207	87,250,437
Term loans	52,876	227,965	6,339,834	4,983,646	11,604,321
Other liabilities	4,387,340	-	-	-	4,387,340
Total liabilities	75,197,278	9,569,343	8,584,454	11,860,853	105,211,928

The disclosed financial instruments in the above table are the gross undiscounted cash flows. However, those amounts may be settled gross or net. The following table shows the reconciliation of the carrying amounts of derivatives and their future cash flows.

	Less than 3 months AED 000	*3 months to 1 year AED 000*	*1 year to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
2010					
Inflows	**451,130**	**2,487,367**	**2,847,504**	**6,198,309**	**11,984,310**
Outflows	**(453,627)**	**(2,507,968)**	**(2,941,440)**	**(6,191,699)**	**(12,094,734)**
Net	**(2,497)**	**(20,601)**	**(93,936)**	**6,610**	**(110,424)**
2009					
Inflows	2,493,869	2,429,419	1,397,994	1,194,823	7,516,105
Outflows	(2,505,500)	(2,432,113)	(1,297,365)	(1,364,160)	(7,599,138)
Net	(11,631)	(2,694)	100,629	(169,337)	(83,033)

The table below shows the contractual expiry by maturity of the Bank's contingent liabilities and commitments.

	Less than 3 months AED 000	*3 to 12 months AED 000*	*1 to 5 years AED 000*	*Over 5 years AED 000*	*Total AED 000*
2010					
Contingent liabilities	**37,373,647**	**6,032,226**	**18,465,545**	**-**	**61,871,418**
Commitments	**956,622**	**4,567,410**	**639,899**	**-**	**6,163,931**
Total	**38,330,269**	**10,599,636**	**19,105,444**	**-**	**68,035,349**
2009					
Contingent liabilities	38,795,565	7,353,160	9,906,695	-	56,055,420
Commitments	635,584	5,515,385	1,554,922	-	7,705,891
Total	39,431,149	12,868,545	11,461,617	-	63,761,311

The Bank expects that not all of the contingent liabilities or commitments will be drawn before expiry of the commitments.

31 RISK MANAGEMENT *continued*

31.4 Market risk

Market risk is the risk that the fair value and future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, and equity prices.

Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. Effective hedging strategies are in place to ensure that interest rate fluctuations do not cause significant changes in future cash flows or fair value of financial instruments.

The following table estimates the sensitivity to a reasonable possible change in interest rates on the Bank's income statement. The sensitivity of the income statement is the effect of the assumed changes (whether increase or decrease) in interest rates on the net interest income for one year, based on the floating rate financial assets and financial liabilities, denominated in various currencies, held at 31 December 2010, with all other variables held constant.

Currency	AED	USD	EUR	GBP	Others
Assumed change in interest rates	0.50%	0.50%	0.50%	0.50%	0.50%
Impact on net interest income from increase in interest rates:					
2010 (AED 000)	**43,744**	**(17,650)**	**(63)**	**(8,204)**	**(968)**
2009 (AED 000)	76,738	(1,789)	(7,452)	(619)	(3,474)
Impact on net interest income from decrease in interest rates:					
2010 (AED 000)	**(43,744)**	**17,650**	**63**	**8,204**	**968**
2009 (AED 000)	(76,738)	1,789	7,452	619	3,474

(Amounts in brackets reflect decreases in net interest income.)

The sensitivity of equity is calculated by revaluing the fixed rate available for sale financial assets, including the effect of any associated hedges, and swaps designated as cash flow hedges, for the effects of the assumed changes in interest rates. At 31 December 2010 and 31 December 2009, the effect of the assumed changes in interest rates on equity is as follows.

Currency	USD
Assumed change in interest rates	0.50%
Impact on equity from increase in interest rates:	
2010 (AED 000)	**(16,165)**
2009 (AED 000)	(14,823)
Impact on equity from decrease in interest rates:	
2010 (AED 000)	**16,632**
2009 (AED 000)	15,168

31 RISK MANAGEMENT *continued*

31.4 Market risk *continued*

Currency risk
Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Board has set limits on positions by currency. Positions are monitored on a daily basis and hedging strategies are used to ensure positions are maintained within established limits.

The tables below indicate the currencies to which the Bank had significant exposure at 31 December 2010 on its monetary assets and liabilities and its forecast cash flows. The analysis estimates the effect of a reasonably possible movement of AED against other currencies, with all other variables held constant on the consolidated income statement.

Currency	USD	EUR	GBP	Libyan
Assumed change in exchange rates	1%	1%	1%	1%
Impact on operating income from increase in exchange rates:				
2010 (AED 000)	**4,531**	**-**	**(26)**	**(3,823)**
2009 (AED 000)	24,824	(74)	(18)	(3,821)
Impact on operating income from decrease in exchange rates:				
2010 (AED 000)	**(4,531)**	**-**	**26**	**3,823**
2009 (AED 000)	(24,824)	74	18	3,821

(Amounts in brackets reflect decreases in operating income.)

At 31 December 2010 and 2009, the effect of the assumed changes in exchange rates on equity is insignificant.

Equity price risk
Equity price risk is the risk that the fair values of equities decrease as the result of changes in the levels of equity indices and the value of individual stocks. The equity price risk exposure arises from the Bank's investment portfolio.

The following table estimates the sensitivity to a possible change in equity markets on the Bank's income statement. The sensitivity of the income statement is the effect of the assumed change in the reference equity benchmark on the fair value of investments carried at fair value through the income statement.

	Assumed level of change %	***Impact on net income 2010 AED 000***	*Impact on net income 2009 AED 000*
Investments carried at fair value through the income statement			
Reference equity benchmarks:			
Abu Dhabi Securities Market Index	5%	**6,982**	7,814
Dubai Financial Market Index	5%	**1,489**	281
Net asset value of managed funds	5%	**6,946**	10,169
Other equity exchanges	5%	**2,886**	1,912
Unquoted	5%	**959**	959

31 RISK MANAGEMENT *continued*

31.4 Market risk *continued*

Equity price risk *continued*
The effect on equity (as a result of a change in the fair value of equity instruments held as available for sale at 31 December 2010) due to a reasonably possible change in equity indices, with all other variables held constant, is as follows.

	Assumed level of change %	***Impact on equity 2010 AED 000***	*Impact on equity 2009 AED 000*
Available for sale investments			
Reference equity benchmarks:			
Net asset value of private equity funds	5%	**63,415**	51,148

Prepayment risk
Prepayment risk is the risk that the Bank will incur a financial loss because its customers and counterparties repay or request repayment earlier or later than expected, such as fixed rate mortgages when interest rates fall.

The effect on profit for one year, assuming 10% of repayable financial instruments were to prepay at the beginning of the year, with all other variables held constant, is estimated at AED 435,234 thousand (2009: AED 408,386 thousand).

Operational risk
Operational risk is the risk of direct or indirect loss arising from inadequate or failed internal processes, systems failure, human error, fraud or external events. When required controls fail, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss. While the Bank cannot expect to eliminate all operational risks, through a control framework and by continuous monitoring and responding to potential risks, the Bank is able to manage these risks. Controls include effective segregation of duties, appropriate access, authorisation and reconciliation procedures, staff training and robust assessment processes. The processes are reviewed by risk management and internal audit on an ongoing basis.

32 FAIR VALUE OF FINANCIAL INSTRUMENTS

While the Bank prepares its financial statements under the historical cost convention modified for measurement to fair value of investment securities (other than held to maturity investments and certain unquoted investments), investment properties and derivative financial instruments, in the opinion of management, the estimated carrying values and fair values of those financial assets and liabilities, other than the Government deposit referred to in Note 11, that are not carried at fair value in the financial statements are not materially different, since assets and liabilities are either short term in nature or in the case of deposits and performing loans and advances, frequently repriced. For impaired loans and advances, expected cash flows, including anticipated realisation of collateral, were discounted using the original interest rates, considering the time of collection and a provision for the uncertainty of the cash flows.

The carrying value of unquoted investments stated at cost and fair value of held to maturity investments are disclosed in Note 5. The fair value of the Government deposit cannot be reliably estimated as this is dependent on the amounts and timing of future loan disbursement under the housing loans scheme. Details of the Government deposit are disclosed in Note 11.

32 FAIR VALUE OF FINANCIAL INSTRUMENTS *continued*

The Bank uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities;

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly; and

Level 3: techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data.

The following table shows the analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

	Level 1 2010 AED 000	***Level 2 2010 AED 000***	***Level 3 2010 AED 000***	***Total 2010 AED 000***
FINANCIAL ASSETS				
NON TRADING INVESTMENTS				
Carried at fair value through income statement				
Investments in managed funds	**-**	**138,922**	**-**	**138,922**
Investments in equities- Quoted	**227,155**	**-**	**19,175**	**246,330**
Debt securities	**21,579**	**-**	**-**	**21,579**
Available for sale investments				
Investments in equities - Unquoted	**-**	**-**	**77,812**	**77,812**
Investments in private equity funds	**-**	**1,268,300**	**-**	**1,268,300**
Convertible bonds	**187,522**	**-**	**-**	**187,522**
Debt securities	**767,248**	**-**	**-**	**767,248**
Credit linked Notes	**-**	**183,650**	**-**	**183,650**
	1,203,504	**1,590,872**	**96,987**	**2,891,363**
DERIVATIVES – Positive fair value				
Derivatives held for trading				
Forward foreign exchange contracts	**-**	**20,324**	**-**	**20,324**
Interest rate swaps, caps and collars	**-**	**337,953**	**-**	**337,953**
Swaptions	**-**	**3,454**	**-**	**3,454**
Credit default swaps	**-**	**-**	**-**	**-**
Equity swaps	**-**	**4,850**	**-**	**4,850**
Options	**-**	**7,914**	**-**	**7,914**
Futures	**165**	**-**	**-**	**165**
Derivatives held as fair value hedge				
Interest rate swaps	**-**	**6,048**	**-**	**6,048**
	165	**380,543**	**-**	**380,708**
DERIVATIVES – Negative fair value				
Derivatives held for trading				
Forward foreign exchange contracts	**-**	**25,341**	**-**	**25,341**
Interest rate swaps, caps and collars	**-**	**367,771**	**-**	**367,771**
Swaptions	**-**	**8,031**	**-**	**8,031**
Credit default swaps	**-**	**3,229**	**-**	**3,229**
Equity swaps	**-**	**4,642**	**-**	**4,642**
Options	**-**	**8,909**	**-**	**8,909**
Commodity linked swap	**-**	**35,371**	**-**	**35,371**
Derivatives held as fair value hedge				
Interest rate swaps	**-**	**63,180**	**-**	**63,180**
	-	**516,474**	**-**	**516,474**

32 FAIR VALUE OF FINANCIAL INSTRUMENTS *continued*

The following table shows the analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

	Level 1 2009 AED 000	*Level 2 2009 AED 000*	*Level 3 2009 AED 000*	*Total 2009 AED 000*
FINANCIAL ASSETS				
NON TRADING INVESTMENTS				
Carried at fair value through income statement				
Investments in managed funds	-	203,374	-	203,374
Investments in equities - Quoted	195,753	19,175	-	214,928
Available for sale investments				
Investments in equities - Unquoted	-	-	61,226	61,226
Investments in private equity funds	-	1,022,968	-	1,022,968
Debt securities	751,912	20,000	-	771,912
	947,665	1,265,517	61,226	2,274,408
DERIVATIVES – Positive fair value				
Derivatives held for trading				
Forward foreign exchange contracts	-	41,864	-	41,864
Interest rate swaps, caps and collars	-	468,431	-	468,431
Swaptions	-	5,615	-	5,615
Cross currency interest rate swaps	-	98,949	-	98,949
Equity swaps	-	43,018	-	43,018
Options	-	1,227	-	1,227
Futures	2,671	-	-	2,671
Derivatives held as fair value hedge				
Interest rate swaps	-	2,258	-	2,258
	2,671	661,362	-	664,033
DERIVATIVES – Negative fair value				
Derivatives held for trading				
Forward foreign exchange contracts	-	39,096	-	39,096
Interest rate swaps, caps and collars	-	481,811	-	481,811
Swaptions	-	6,746	-	6,746
Credit default swaps	-	6,486	-	6,486
Cross currency interest rate swaps	-	98,949	-	98,949
Equity swaps	-	43,018	-	43,018
Options	-	1,457	-	1,457
Derivatives held as fair value hedge				
Interest rate swaps	-	41,021	-	41,021
	-	718,584	-	718,584

The following is a description of the determination of fair value for financial instruments which are recorded at fair value using valuation techniques. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Investments carried at fair value through income statement

Investments carried at fair value through income statement are listed equities in local as well as international exchanges, and hedged funds. Equity valuations are based on market prices as quoted in the exchange while funds are valued on the basis on Net Asset Value (NAV) statements received from fund managers

Available for sale investments

AFS investments, revaluation gain/loss of which is recognized through equity, comprises long term strategic investments in companies, private equity funds and Eurodollar or AED denominated debt securities. For companies and funds, the financial statements provide the valuations of these investments which are arrived primarily by discounted cash flow analysis. For debt securities, the applied valuation is quoted prices by key market players.

32 FAIR VALUE OF FINANCIAL INSTRUMENTS *continued*

Derivatives
Derivatives are mainly interest rate and currency swaps, asset swaps, options on equities, swaptions and FX forward contracts. The valuation techniques used are models which use observable market data like FX forward rates, interest rate curves of different currencies, the deduced zero curves and forward rates and volatilities of the underlying factors

Transfers between categories

During the reporting periods ending 31 December 2010, there were no transfers between Level 1 and Level 2 fair value measurements.

The following table shows a reconciliation of the opening and closing amount of Level 3 financial assets recorded at fair value.

	2010	*2009*
	AED 000	*AED 000*
At 1 January	**61,226**	55,870
Total gain recorded in equity	**586**	5,356
Transfer from level 2	**19,175**	-
Additions	**16,000**	-
At 31 December	**96,987**	61,226

33 CAPITAL ADEQUACY

Capital management
The primary objective of the Bank's capital management is to ensure that the Bank maintains healthy capital ratios in order to support its business, to maximise shareholders' value and to ensure that the Bank complies with externally imposed capital requirements.

The Bank manages its capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Bank may adjust the amount of dividend payment to shareholders or issue capital securities. No changes were made in the objectives, policies and processes from the previous years.

The capital adequacy ratio calculated in accordance with the guidelines of the U.A.E. Central Bank is as follows:

	2010	*2009*
	AED 000	*AED 000*
Total capital base	**27,674,323**	26,126,246
Risk weighted assets:		
Balance sheet items	**92,918,388**	89,851,255
Off-balance sheet exposures	**27,740,770**	25,833,538
Total risk weighted assets	**120,659,158**	115,684,793
Total assets ratio (%)	**22.9%**	22.6%

34 COMPARATIVE FIGURES

Certain comparative figures pertaining to commitments to make loans and revolving credits have been revised in order to conform to the current year's presentation. The changes did not result in any changes to the reported profit or equity of the Bank.

Basel II Pillar III Reports

Pillar III Write Up

1.0 Enterprise Risk Management at First Gulf Bank

- 1.1 Risk Appetite
- 1.2 Risk Governance Structure
- 1.3 Enterprise Risk Management Group
- 1.4 Enterprise Risk Management Policy Framework
- 1.5 Overview of Enterprise Risk Management Process
  - 1.5.1 Risk Identification and Assessment
  - 1.5.2 Risk Monitoring and Control
  - 1.5.3 Risk Mitigation
  - 1.5.4 Risk Reporting
  - 1.5.5 Stress Testing

2.0 Pillar III Quantitative Disclosures

1.0 Enterprise Risk Management at First Gulf Bank

A well-established risk governance and ownership structure ensures oversight and accountability of the effective management of risk at First Gulf Bank. The Board of Directors (BoD) approves risk management plans for First Gulf Bank and its subsidiaries, associates and foreign offices including representative offices and overseas branches. Under authority delegated by the BoD, the Risk and Compliance Management Committee (RCMC) through its separately convened risk management meeting formulates high-level enterprise risk management policy, exercises delegated risk authorities and oversees the implementation of risk management framework and controls. It monitors all categories of risk, receives reports on actual performance and emerging issues, determines action to be taken and reviews the efficacy of First Gulf Bank's risk management framework. In its oversight and stewardship of risk management at Group level, RCMC is supported by the Enterprise Risk Management Group (ERMG) headed by the Group Chief Risk Officer (CRO), who is also a member of the RCMC.

1.1 Risk Appetite

Risk Appetite of a bank is the single most important factor in determination of risk tolerance and setting risk target and risk limits across various dimensions and risk types. First Gulf Bank is in the process of establishing, following and using a formal risk appetite framework established through a dialogue between risk taking functions after a careful consideration of risk-return trade-off and through a top-down approach to incorporate differing requirements of various stakeholders viz. shareholders, debt holders, regulator etc. Further First Gulf Bank plans to synchronize the Risk Appetite defined at bank level vis-à-vis exposure and risk limits across various risk streams viz. credit, market, operational, strategic etc. The risk appetite framework is being developed in close coordination with external industry specialists. As a part of this initiative, discussions have been held to assess bank's strategic objectives and perceived risks. A risk appetite questionnaire has also been designed to evaluate the same. Based on this evaluation, a risk appetite statement will be drafted in a top-down approach. As a next step, the risk appetite statement will be compared with the current risk profile. In case of some misalignment, recommendations will be made in order to align First Gulf Bank's risk appetite with its risk profile.

Post finalization of risk appetite, it would be translated into risk tolerance for specific categories of risk types viz. credit risk, market risk, operational risk, strategic risk, compliance risk, etc. As a next step, risk tolerance would be further enhanced to set risk targets for different business units. The objective of setting risk targets would be to correlate risk tolerance with specific business plans. Risk targets would be based on the desired return, risks implicit in trying to achieve those returns and bank's capability of managing those risks. Risk targets would be expressed in the form of risk limits; any breach of risk limits will typically act as a trigger for corrective action at the process level. Following this procedure, First Gulf Bank will then monitor its risk exposures on a continuous basis, both under normal conditions and by simulation of stress scenarios. Whenever necessary, strategies for removal of excess risks will be formulated and adhered to.

1.2 Risk Governance Structure

The Board of Directors (BoD) is responsible for the overall direction, supervision and control of First Gulf Bank. The day-to-day management of First Gulf Bank is conducted by the Executive Committee, the Managing Director and the CEO. The principal role of the BoD is to oversee implementation of First Gulf Bank's strategic initiatives and its functioning within the agreed framework in accordance with relevant statutory and regulatory structures. There are three Board level committees to oversee the implementation of First Gulf Bank's policies, BoD's resolutions and to practice the competencies granted to it by the BoD and there are several Management level committees for day-to-day business decisions. Please refer Note 31.1 of the Financial Statements for further details.

1.3 Enterprise Risk Management Group

First Gulf Bank has a centralized Enterprise Risk Management Group (ERMG), which is headed by the Group CRO. It comprises Credit Risk Management Unit (CRMU), Market Risk Management Unit (MRMU), ALM Risk Management Unit

(ALMRMU), Operational Risk Management Unit (ORMU), Compliance unit and Basel II unit. It is the nerve centre for collection of data, analysis of risk drivers, interpretation of outcomes and its wide dissemination to relevant committees for risk management. The reports produced by constituents of ERMG bring out valuable information at individual exposure and at portfolio levels wherever relevant. ERMG is responsible for archiving of raw and derived data, reports and other analyses for building of risk models, validation, and documentation. ERMG undertakes this process through partnering with various business and support units by identification, assessment, monitoring & control and reporting of all material risks. ERMG also monitors compliance with the regulatory procedures and anti-money laundering monitoring procedures of the Bank.

1.4 Enterprise Risk Management Policy Framework

First Gulf Bank's Enterprise Risk Management Policy (ERMP) framework aims to accomplish its core values and purpose of being a world-class organization maximizing its risk adjusted returns for all stakeholders by establishing an enterprise wide risk management framework across the First Gulf Bank group including its local & international branches, subsidiaries, associates and foreign representative offices. Core objective of ERMP is to provide a reasonable degree of assurance to the BoD that the risks threatening the bank's achievement of its core purpose are being identified, measured, monitored and controlled through an effective integrated risk management system covering credit, market, operational, interest rate, liquidity and all other material risks including Strategic risk, Country risk, Reputation risk, etc. First Gulf Bank's ERMP framework covers the following risks within its ambit in the form of specific policy documents on the following: Corporate Credit risk, Retail Credit risk, Market risk, Operational risk, Interest rate risk in the Banking Book, Liquidity risk, Country risk, AML and Compliance risk, Information security risk and other material risks viz. Country risk, Strategic risk and Reputation risk. In addition to these risk management policies, First Gulf Bank has also put in place detailed credit policies and procedures in the corporate and retail banking areas. This framework is cascaded in a hierarchy of policy manuals throughout the First Gulf Bank group and communicates standards, instructions and guidance to employees.

1.5 Overview of Enterprise Risk Management Process

1.5.1 Risk Identification and Assessment

Credit Risk: Credit Risk is defined as the possibility of losses associated with diminution in the credit quality of borrowers or counter-parties. In a Bank's portfolio, losses stem from outright default due to inability or unwillingness of a customer or counter-party to meet commitments in relation to lending, trading, settlement and other financial transactions. Alternatively, losses result from reduction in portfolio value arising from actual or perceived deterioration in Credit Quality. The Credit Analysis team in First Gulf Bank undertakes detailed appraisal of credit proposals and prepares a Credit Analysis package with detailed analysis of the customer, requested facility/product and the credit risk mitigants. The overall package is presented to the credit committee for discussion and decision on the credit proposal. A detailed quantitative analysis of credit risk has been carried out in the Note 31.2 of the Financial Statements.

Currently in the corporate banking portfolio, First Gulf Bank follows an obligor rating mechanism for identification of credit risk whereas in the retail banking portfolio, First Gulf Bank follows set of lending criteria which are collectively known as Credit Criteria Policies and Procedures; First Gulf Bank is in the process of establishing a dual risk rating framework for identification of credit risk, wherein each borrower is assigned an obligor level credit rating and each facility to the borrower is assigned a facility level rating. This two-dimensional rating framework will separately assess the customer risk from the transaction risk. This will involve estimation of credit risk parameters viz. Probability of Default (PD) to estimate default risk, Loss Given Default (LGD) to estimate recovery risk and Exposure at Default (EAD) to estimate exposure risk.

Various credit risk models have been developed for the corporate banking and the retail banking portfolio.

In the Corporate banking area, First Gulf Bank in close coordination with an external vendor has developed 12 obligor risk rating models and one generic model, each for LGD and EAD estimation. The 12 obligor risk rating models pertain to various industries that make up First Gulf Bank's corporate banking portfolio. These obligor risk rating models include the following: Banking Industry model, Corporate – Contracting Industry model, Corporate – Manufacturing Industry model, Corporate – Real Estate Industry model, Corporate – Services Industry model, Corporate – Trading Industry model, High Net worth Individual (HNI) model, Non Banking Financial Institutions model and Sovereign model. Further, Expected loss models were built for Specialized Lending (SL) portfolio; these included the following: SL – Income Producing Real Estate (IPRE) model, SL – Object Finance (OF) model and SL – Project Finance (PF) model. Generic models were also built for estimation of LGD and EAD across the corporate banking group portfolio.

In the Retail banking area, First Gulf Bank has developed 14 obligor risk rating scorecards and one generic model, each for LGD and EAD estimation. The 14 obligor rating scorecards pertain to various products that make up First Gulf Bank's retail banking portfolio. These scorecards include the following: Credit Cards (Application scorecard for UAE Nationals, Application scorecard for Expats, Behavioral scorecard, Collection scorecard), Personal Loans (Application scorecard, Behavioral scorecard), Personal Installment Loans (Application scorecard), Small Business Loans (Application scorecard), Auto Loans (Scorecard for salaried individuals, Scorecard for self employed individuals), Residential Mortgage (Scorecard for salaried individuals, Scorecard for self-employed individuals) and Guarantors (Scorecard for salaried guarantors, Scorecard for self-employed guarantors). Generic models were also built for estimation of LGD and EAD across the retail banking group portfolio.

First Gulf Bank has already undertaken testing of select corporate banking and retail banking models and is currently undertaking an external validation of the models. First Gulf Bank aims to initiate transitioning towards dual risk rating framework in 2011. First Gulf Bank currently undertakes credit risk measurement (calculation of credit risk RWA) as per the Basel II standardized approach of credit risk. First Gulf Bank plans to gradually move towards Internal Ratings Based approach for calculation of credit risk weighted assets in 2011.

First Gulf Bank is also in the process of automation of its corporate credit appraisal system through implementation of a web based credit appraisal and decision system that enables origination, monitoring and management of wholesale credit risk exposure. The system being developed will automate the following processes: Customer origination, capturing site visit and call details, configuring various financial formats – manufacturing, trading, real estate, banks, etc. for spreading financials and generating projections, performing due diligence like credit bureau check, internal check, market check, etc, performing financial analysis, origination of facilities and products, origination of credit risk mitigants, facilitating entity rating and generation of PD, facilitating facility rating and generation of LGD and EAD, enabling risk based pricing taking expected and unexpected loss into consideration, capturing account and product performance details, generation of customer profitability and group profitability and generation of Credit Memorandum, etc.

Credit Concentration Risk: Concentrations of credit risk arise when a number of counter-parties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations of credit risk indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographic location. First Gulf Bank assesses concentration risk on a regular basis through regular monitoring and reporting of credit portfolio. A detailed quantitative analysis of concentration risk has also been carried out in the Note 31.2 of the Financial Statements.

Market Risk: Market risk is defined as risk of losses in on and off-balance sheet positions arising from changes in Interest Rates in the trading book, Equity prices in the trading book, Foreign Exchange rates (including gold) in both trading and banking books, Commodity prices in both trading and banking books and also includes Options risk. First Gulf Bank classifies market risk accordingly. Valuations of all positions in the trading book are carried out on a mark-to-market basis. Currently First Gulf Bank follows the mark-to-market methodology for measuring the risk exposed in

the Trading book. All positions in derivatives and structured products are broken down to relevant underlying positions and then subjected to a thorough risk identification process which includes identification of whether the position is exposed to Options risk or not, determination of the type of option if exposed to Options Risk, for non-option positions, determination of whether such position is exposed to interest rate risk, equity position risk, commodities risk and foreign exchange risk. First Gulf Bank plans to gradually move on to the VaR based approaches for risk measurement in 2011. A detailed quantitative analysis of market risk has been carried out in the Note 31.4 of the Financial Statements.

Operational Risk: Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. This definition includes legal risk, information technology and information security related risks but excludes strategic and reputation risk. First Gulf Bank adopts the methodology of 'Self Assessment' by various units on a bottom up approach for identification of operational risk. The assessment includes risks assessment on various processes across business and support units as well as setting of Key Risk Indicators (KRIs). First Gulf Bank is in the process of undertaking a Risk and Control Self Assessment exercise within the bank wherein all business and support units would be assessing their risks and controls; this data would be further used to develop risk profiles across various units. First Gulf Bank also maintains an internal loss database that stores details pertaining to operational losses. First Gulf Bank currently undertakes operational risk measurement as per the standardized approach of Basel II.

Interest Rate Risk/Liquidity Risk: Interest Rate Risk in the Banking Book is defined as the exposure of a bank's earnings and capital to adverse changes in interest rates. Liquidity risk is defined as the risk to earnings and capital arising from a Bank's inability to meet its obligations when they become due, without incurring unacceptable losses. First Gulf Bank follows the primary approach of recognizing all interest bearing / interest sensitive assets and liabilities - both on- and off- balance sheet in order to assess the impact of Interest rate risk on its portfolio. Further, the types of interest rate risk is identified (repricing risk, basis risk, yield curve risk) for sound management of interest rate risk. Special care is taken in the identification of risk associated with interest rate derivatives or structured products, where sensitivity to interest rates are often in conjunction with some other underlying risk factor. Positions in such structured products and derivatives are broken down into underlying factors for identification of the identification of interest rate risk type.

Like Interest Rate Risk, Liquidity Risk is a bank level risk contributed by mismatches in cash flows from assets and liabilities- both on and off-balance sheet. While it is not possible to identify Liquidity Risk at each asset and liability level, First Gulf Bank follows several indicators for identification of liquidity risks on its portfolio. These indicators include frequency of Treasury accessing money market for funds, illiquidity of trading positions, margin calls on unsettled positions requiring cash outflow, downgrading by external rating agencies, lowering of counterparty limits by other banks, widening of bid-offer spread in case of traded instruments signaling lower liquidity, etc.

Apart from undertaking Rate sensitive gap analysis, Net Interest Income (NII) sensitivity analysis, Liquidity gap analysis, First Gulf Bank also undertakes stress testing on a regular basis to assess the impact of interest rate risk and liquidity risk on its book. Detailed quantitative analyses of liquidity risk and interest rate risk have been carried out in the Note 31.3 and 31.4 of the Financial Statements.

Country Risk: Country risk is the likelihood of economic, social, and political events in a foreign country negatively influencing the willingness or ability of state owned and/or privately owned customers in that country to pay their debts on time. First Gulf Bank can get exposed to country risk in numerous ways viz. International lending operations, On balance sheet activities such as overseas investments, placements etc, Off balance sheet exposures such as letters of credit, guarantees/bonds, foreign exchange contracts etc, Foreign Currency Lending to domestic obligors, Exposure to domestic entities that have significant cross border exposures, Secured Lending to a Domestic Borrower where collateral is located in a foreign country, etc. First Gulf Bank undertakes a detailed qualitative analysis pertaining to country risk as a part of the business decision process. These factors include economic, social and political stability in each country, the monetary policy, the foreign exchange control measure, the transparency of information, the financial and market structure, such as commercial banks' supervision policy of the supervisory authority in that country, the legal system, and the accounting standards, etc. First Gulf Bank has incorporated macro-economic factors such as exchange rate, inflation rate, interest rate, public debt, short-term debt, GDP growth, unemployment rate, liquidity factors, government's capability in generating revenue and other relevant statistics along with obligor and facility specific factors as a part of its business decision (credit risk modeling) process.

Strategic Risk: Strategic risk refers to the risk of current or prospective impact on First Gulf Bank's earnings, capital, reputation or standing arising from changes in the environment First Gulf Bank operates in and from adverse strategic decisions, improper implementation of decisions, or lack of responsiveness to industry, economic or technological changes. It is a function of compatibility of First Gulf Bank's strategic goals, strategies developed to achieve those goals, resources deployed to meet those goals and the quality of implementation. First Gulf Bank uses several factors to identify and assess impact of strategic risk on its books. These factors include level of integration of risk management policies and practices in the strategic planning process, aggressiveness of strategic goals and compatibility with developed business strategies, capital support for the strategic initiatives to take care of earnings volatility, effectiveness of communication & consistency of application of strategic goals, objectives, corporate culture, and behavior throughout First Gulf Bank, effectiveness of MIS to support strategic direction and initiatives, etc.

Compliance Risk: Compliance Risk refers to the risk to earnings or capital or reputation or continued business existence arising from violations of or non-conformance with laws, rules, regulations, prescribed practices, or ethical standards. From enterprise risk management view point compliance risk is one of the more significant operational risks as it snowballs into reputation risk and reduces investor and customer confidence in the organization. First Gulf Bank, on a continuous basis, identifies and assesses such risks inherent in all new and existing "material" products, activities, processes and systems. The assessment includes risks assessment on non-conformance with laws, rules, regulations, prescribed practices, or ethical standards. As a part of the overall Enterprise Risk Management structure, First Gulf Bank has an independent compliance function that develops internal controls to manage such risks and it is supported by First Gulf Bank's Internal Audit and Legal teams.

Reputation Risk: Reputation risk is the risk to earnings or capital arising from negative public opinion. This can be due to external or internal events. First Gulf Bank identifies and assesses reputation risk by clearly defining types of risk to be captured, establishing key sources of reputation risk it may be exposed to based on individual circumstances and describing the risks identified in terms of the nature of risk and the potential consequences that the risks may bring to First Gulf Bank's reputation. First Gulf Bank also refers to other relevant information for risk identification purposes. Such information may, for example, be often sourced from media reports, stakeholder analysis reports, internal audit and compliance reports, management exception reports, or other early warning indicators.

1.5.2 Risk Monitoring and Control

Risk Monitoring and Control are essential to ensure that the overall risk assumed by First Gulf Bank is in conformity with Enterprise risk management policy parameters. Monitoring and controlling risks is primarily performed based on established exposure and stop loss limits; First Gulf Bank is in the process of setting up risk limits as well in the near future. The exposure limits reflect the business strategy and market environment of the Bank as well as the level of exposure that First Gulf Bank is willing to accept. In addition, First Gulf Bank monitors and measures the overall risk bearing capacity in relation to the aggregate risk exposure across all risk types and activities. Information compiled from all the businesses is examined and processed in order to analyze, monitor and control risks. This information is presented and explained to the RCMC. The report includes aggregate risk exposures, limit exceptions and risk profile changes. On a monthly basis detailed reporting of exposures across industries, customers and geography is undertaken. Across all levels throughout First Gulf Bank, specifically tailored risk reports are prepared and distributed in order to ensure that all business divisions have access to extensive, necessary and up-to-date information.

Credit Risk and Credit Concentration Risk: As a part of credit risk monitoring and control framework First Gulf Bank undertakes regular risk monitoring and provides Senior Management and BoD assurance that established controls in the form of exposure limits are functioning properly. Risk Monitoring is carried out at both individual and portfolio level by appropriate authorities along several parameters which include Credit portfolio quality (NPL accounts, Past Due accounts, Watch list accounts), Provisioning levels, Exposure limits across several dimensions, Financial & operating performance, Account conduct, end use of funds, adequacy of collaterals and other credit risk mitigants, adherence to financial and non-financial covenants, recovery performance, Rating system performance, etc. First Gulf Bank has set up portfolio exposure limits viz. Single name and Group borrower limits, limits for exposure towards principal shareholders, limits for exposure towards banking groups, limit for exposures towards the real estate sector, etc. First Gulf Bank has also set up a mechanism for monitoring of counterparty credit risk limits and is in process of setting up risk limits for its overall credit risk portfolio.

Market Risk: For market risk, exposure limits and stop loss limits are monitored on a daily basis which allows First Gulf Bank to identify level of exposure across asset classes, risk factors etc. These limits are checked for adherence prior to sanctioning of any fresh limits and enhancement of existing limits. Monitoring of these limits is undertaken across several dimensions: limit utilization versus the set exposure limits, concentration of exposures, frequency of breaches of limits, size of breaches over the set exposure and stop loss limits, etc. The necessary decisions of exiting from the position or holding are made on the basis of these limits. From a risk control perspective these limits play a crucial role in controlling risk at a transaction level; at the same time First Gulf Bank uses all necessary strategies pertaining to hedging, diversification, reshuffling of portfolio for a portfolio wide risk control.

Operational Risk: First Gulf Bank monitors and controls operational risk across its processes through a framework comprising setting and monitoring of KRI limits and breaches and monitoring of operational losses. In case KRI thresholds are breached or exceeded; the concerned business / support unit draws-up risk mitigation plans to effectively address the underlying risk. First Gulf Bank is in the process of adopting RCSA mechanism shortly to monitor risk and control levels associated with key processes in the bank. First Gulf Bank also adopts the "four-eye principle" to limit & control operational risks in bank-wide activities. This principle advocates the need for a maker and checker for all key transactions performed by the bank.

Liquidity and Interest Rate Risks: First Gulf Bank has developed system capabilities to measure the liquidity gaps and repricing gaps considering the behavioral analysis of various products. These gaps are monitored against certain internal benchmarks for ascertaining trends. The impact of a parallel shift on the interest rate curves on the Net Interest Income (NII) and Equity of First Gulf Bank is also ascertained. Risk unit presents these gap reports along with the sensitivity reports to ALCO for review in the periodic ALCO meetings. First Gulf Bank has set exposure limits and is in the process of setting up risk limits based on the above trends. These limits are being set across several dimensions that include level of capital, level of earnings, changes in interest rates, level of current and projected liquidity, etc.

Country Risk: Country risks are monitored and controlled using country limits set by First Gulf Bank; these limits are in accordance with First Gulf Bank's overall business strategy, capital adequacy and provisions for potential risks, risk rating of each country, acceptable level of risk and business opportunities in each country.

Strategic Risk: Strategic risks are monitored and controlled as part of the strategic planning process wherein First Gulf Bank reviews the progress on strategic initiatives vis-à-vis the plan and considers whether the progress is in line with the plan and the external business environment. The strategic plan is reviewed on a regular basis.

Compliance Risk: In order to monitor compliance & anti-money laundering risks, First Gulf Bank has set in place the due diligence processes, reviews of policies and procedures across the bank, implementation of an integrated compliance & AML system which manages name clearance, transaction monitoring and payment monitoring activities, assessment through compliance check-lists etc.

Reputation Risk: For reputation risks, apart from the regular monitoring of external and internal events that can result in possible reputation risks First Gulf Bank also has processes to track risks that may affect its reputation. These processes allow the BoD and Senior Management to take prompt corrective actions to address any anticipated reputation event in advance.

1.5.3 Risk Mitigation

First Gulf Bank has set up a framework for credit risk mitigation as a means towards reducing credit risk in an exposure, at facility level, by a safety net of tangible and realizable securities including approved third-party guarantees/insurance. The types of Credit Risk Mitigation (CRM) acceptable to First Gulf Bank include Netting Agreements, Collaterals, Guarantees, Credit derivatives, SBLC and Comfort Letters. First Gulf Bank ensures that all documentation used in collateralized transactions and for documenting on and off-balance-sheet netting, guarantees, credit derivatives and collateral is binding on all parties and is legally enforceable in all relevant jurisdictions. First Gulf Bank ensures that all the documents are reviewed by appropriate authority and have appropriate legal opinions to verify and ensure its enforceability.

As part of its market risk management, First Gulf Bank uses derivatives and other instruments to manage exposures resulting from changes in interest rates and foreign currencies. The risk profile is assessed before entering into hedge transactions, which are authorized by appropriate personnel within the Bank. The effectiveness of hedges is assessed by the ERMG and monitored on a monthly basis. In situations of ineffectiveness, First Gulf Bank enters into a new hedge relationship to mitigate risk on a continuous basis.

As a part of the operational risk mitigation process, First Gulf Bank draws up a risk mitigation plan for every mismatch noticed in the risk assessment process as well as for breaches in the KRI thresholds.

For Liquidity purposes, ALCO ascertains its net liquid assets and compares it with its liquidity gaps over the short term horizon (up to 3 months) to ascertain its adequacy and takes remedial actions, if required accordingly. For Interest Rate risk, the repricing gaps are reviewed by the ALCO and hedging decisions, if required, are executed by Treasury as advised by the ALCO. Also, for extreme cases of stress on liquidity, First Gulf Bank has put in place a contingency funding plan.

First Gulf Bank counters any kind of strategic risk through a strategic planning process wherein First Gulf Bank identifies and assesses potential risks posed by the strategic plan and considers whether it has adequate capacity to withstand these risks. The strategic plan is periodically reviewed and changes to the plan, such as modifying existing strategies or adding new ones are subject to an approval process which is also a part of the strategic planning process.

First Gulf Bank counters country specific risk through a series of measures that includes country specific limit setting. First Gulf Bank plans to set different provisioning guidelines for different countries according to the economic, social and political conditions related to each country by analyzing the problems of each country and severity of the problems, estimating potential losses in that country, and setting aside additional provisions for the potential losses.

The compliance risk is largely mitigated by way of focused policies and procedures, extensive checklist based and on-spot due diligence and regular training sessions. The bank has an elaborate process of customer transaction tracking through the IT system and regular reporting. High risk customers/entities (PEP/High Risk Countries etc.) are scrutinized extensively and reported in line with the regulatory requirement.

In order to manage reputation risks, First Gulf Bank has set in place a mechanism that entails drawing up action plans to identify reputation risk events and facilitate subsequent monitoring of the progress made; for those risks that may be very difficult or too costly to eliminate entirely the mechanism requires development of contingency plans as response actions; for those risks that may be tolerated for the time being, the mechanism necessitates keeping these risks under periodic review to ensure that their status is unchanged and the approach of not taking any specific action remains appropriate.

1.5.4 Risk Reporting

Risk Reporting is essential to facilitate communication of risk information to relevant recipients to enable effective oversight on various components of Enterprise risk management. First Gulf Bank has set in place a comprehensive risk reporting mechanism in the form of daily, fortnightly, monthly, quarterly and annual reports that provide a wide array of risk related information to concerned audience. These reports highlight key risks at a transaction level as well as at portfolio level for various businesses. In addition, through a comprehensive reporting mechanism RCMC is updated on the all major risks on a regular basis.

1.5.5 Stress Testing

First Gulf Bank has put in place a comprehensive stress testing methodology and a detailed stress testing of First Gulf Bank's entire portfolio is undertaken on a regular basis. The stress testing methodology includes all the major business activities of First Gulf Bank and assesses the impact of a combination of sensitivities on each area of risk that is perceived as being material to the bank. First Gulf Bank has also initiated the Pillar II process in the form of Internal Capital Adequacy Assessment Process (ICAAP), thereby assessing its material risks and highlighting its risk bearing capacity vis-à-vis these risks. Stress testing is being undertaken on an annual basis as a part of the ICAAP process mandated by UAE Central Bank. At First Gulf Bank, detailed portfolio stress testing is also being undertaken on a quarterly basis for internal management using similar methodologies. Owing to the fact that capital calculation at First Gulf Bank is currently undertaken as per the Standardized approach of Basel II, no advanced risk models are used in the stress testing process.

2.0 Pillar III Quantitative Disclosures

Please refer to the tables in the next few pages, which set out disclosures pertaining to Pillar III of Basel II.

Name of the Report	
1	Information on Subsidiaries & Significant investments
2	Consolidated Capital Structure
3	Capital Adequacy
4(a)	Qualitative disclosures - Risk Management
4(b)	Gross Credit Exposure by Currency
4(c)	Gross Credit Exposure by Geographical Distribution
4(d)	Gross Credit Exposure by Industry Segment
4(e)	Gross Credit Exposure by Residual Contract Maturity
4(f)	Impaired Loans by Industry Segment
4(g)	Impaired Loans by Geographical Distribution
4(h)	Reconciliation of changes in Provisions for Impaired Loans
4(i)	Basel II Portfolio as per standardized approach
5	Basel II Portfolio as per standardized approach (Rated/Unrated)
6	Credit Risk Mitigation - Standardized Approach disclosures
7	Market Risk - Standardized approach Capital Requirements
8	Equity Position in the Banking Book
9	Interest rate Risk in the Banking Book

1. INFORMATION ON SUBSIDIARIES & SIGNIFICANT INVESTMENTS

	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries				
FIRST Merchant International LLC	U.A.E.	100%	Merchant Banking	Full Consolidation
Mismak Properties Co. LLC (Mismak)	U.A.E.	100%	Real Estate Investments	Full Consolidation
Radman Properties Co. LLC (Subsidiary of Mismak)	U.A.E.	80%	Real Estate Investments	Full Consolidation
First Gulf Libyan Bank	Libya	50%	Banking Services	Full Consolidation
Significant Investments				
First Gulf Financial Services LLC	U.A.E.	45%	Equity Brokerage	Deduction
Green Emirates Properties PJSC	U.A.E.	40%	Real Estate Management / Investment	Deduction
Aseel Finance PJSC	U.A.E.	40%	Islamic Financing	Deduction

2. CONSOLIDATED CAPITAL STRUCTURE

All numbers are in AED 000

	Summary Terms & conditions of main features of all Capital Instruments	Amount
Tier 1 Capital		
1. Paid up share capital / common stock	Note 15 of the Financial Statements for 2010	1,375,000
2. Reserves		
a. Statutory reserve	Note 18 of the Financial Statements for 2010	5,305,110
b. Special reserve	Note 18 of the Financial Statements for 2010	846,648
c. General reserve	Note 18 of the Financial Statements for 2010	120,000
d. Retained Earnings		10,210,167
3. Minority interest in the equity of subsidiaries		504,776
Deffered Tax equity		
4. Innovative capital instuments		
5. Other Capital Instruments		
a. Mandatory Convertible Bonds	Note 19 of the Financial Statements for 2010	3,600,000
b. Interest Paid Convertible Bonds	Note 19 of the Financial Statements for 2010	(115,082)
c. Subordinated Perpetual Notes	Note 17 of the Financial Statements for 2010	4,000,000
d. Interest Paid Perpetual Notes	Note 17 of the Financial Statements for 2010	(240,000)
6. Surplus Capital from Insurance companies		
Sub Total		**25,606,619**
Less: Deductions from regulatory calculation		
Less: Deductions from Tier 1 Capital	Treasury Shares and Foreign Currency Translation Reserve	(1,074,822)
Tier 1 Capital - SubTotal		**24,531,797**
Tier 2 Capital	Note 12 of the Financial Statements for 2010 (Federal Government Loan), Cumulative Changes in Fair Value and General Provisions	**5,293,190**
Less: Other deductions from capital	Note 6 of the Financial Statements for 2010	**(516,757)**
Tier 3 capital		
Total eligible capital after deduction		**29,308,230**

3. CAPITAL ADEQUACY

All numbers are in AED 000

	Capital Requirements	RWA	Capital Charge
	1. Credit Risk	117,634,060	14,116,087
	a. Standardized Approach		
OR	b. Foundation IRB		
OR	c. Advanced IRB		
	2. Market Risk		
	a. Standardized Approach	3,165,558	253,245
OR	b. Models Approach		
	3. Operation Risk		
	a. Basic Indicator Approach		
OR	b. Standardised Approach/ASA	6,551,626	786,195
OR	c. Advanced Measurement Approach		
		127,351,244	
	Total Capital requirements		**15,155,527**
	Capital Ratio		
	a. Total for Top consolidated Group		**23.0%**
	b. Tier 1 ratio only for top consolidated Group		**19.3%**
	c. Total for each significant bank subsidiary		

4. (a) QUALITATIVE DISCLOSURES RELATED TO CREDIT RISK

Definition of past due and impaired (for accounting purposes)

First Gulf Bank considers any overdue payment as "Past due" and considers 90 days past due as «Impaired» per the UAE Central Bank circular 28/2010 on regulations regarding classification of loans and their provisions.

Description of approaches followed for specific and general allowances and statistical methods

Specific

First Gulf Bank reviews its impaired loans and advances in the Corporate and Retail portfolio on a regular basis to assess the amount of specific provision for impairment to be recorded in the consolidated income statement. First Gulf Bank makes provisions for impaired assets based on UAE Central Bank circular 28/2010.

General

As per the UAE Central Bank circular 28/2010, general provisions requirement is assessed based on the risk weighted assets calculation for total unclassified loans & advances. The provisions requirement of 1.5% of total credit risk RWA for unclassified assets is being built up as per the circular.

Discussion of Bank's credit risk management policy

First Gulf Bank has put in place an Enterprise Risk Management Policy framework which aims to accomplish Bank's core values and purpose of being a world-class organization maximizing its risk adjusted returns for all stakeholders by establishing an enterprise wide risk management framework across the First Gulf Bank group including its local and international branches, subsidiaries, associates and foreign representative offices. Core objective of the policy framework is to provide a reasonable degree of assurance to the Board that the risks threatening the bank's achievement of its core purpose are being identified, measured, monitored and controlled through an effective integrated risk management system covering credit, market, operational, interest rate, liquidity and all other material risks including Strategic risk, Country risk, Reputation risk, etc. First Gulf Bank's Enterprise Risk Management Policy framework covers the following risks within its ambit in the form of specific policy documents: Corporate Credit risk, Retail Credit risk, Market risk, Operational risk, Interest rate risk in the Banking Book, Liquidity risk, Country risk, AML and Compliance risk, Information security risk and Other Material risks viz. Country risk, Strategic risk and Reputation risk. In addition to these risk management policies, First Gulf Bank has also put in place detailed credit policies and procedures in the corporate and retail banking areas. This framework is cascaded in a hierarchy of policy manuals throughout the First Gulf Bank group and communicates standards, instructions and guidance to employees.

Partial adoption of foundation IRB/advanced IRB

Approach	Description of exposures	Plans and timing of migration to implement fully higher approach
Standardised Approach	As per Basel II categorization.	First Gulf Bank is already on Standardized approach.
Foundation IRB	Planned as per Basel II categorization.	First Gulf Bank is in the process of moving towards FIRB in 2011; the PD models for wholesale banking and retail banking have already been developed and tested. First Gulf Bank has developed 12 PD models-five corporate models (contracting, manufacturing, real estate, services and trading), one model each for FIs, High Networth Individuals, Sovereign and Non Banking Financial Institutions and three for Specialized Lending classes - Project Finance, Object Finance and Income Producing Real Estate. First Gulf Bank has also developed PD models for the Retail portfolio which include models for Credit cards, Personal Loans, Personal Installment Loans, Small Business Loans, Auto Loans, Residential Mortgage Loans and Small & Medium Enterprises. Currently First Gulf Bank is carrying out external validation in coordination with an external vendor for the wholesale banking models in parallel with internal use testing. A similar validation exercise will be carried out for retail models which will be followed by enhancement of the models to reflect the current market scenarios by adjusting the risk factors in the models. First Gulf Bank will start FIRB calculations for a part of the wholesale banking portfolio in 2011 (portfolio pertaining to validated corporate models) and follow up with FIRB calculations for the remining part. IRB calculations for Retail will start at a later date.
Advanced IRB	Planned as per Basel II categorization.	First Gulf Bank has developed generic models for LGD and EAD for the wholesale banking portfolio and retail banking portfolio.

4. (b) GROSS CREDIT EXPOSURES BY CURRENCY

All numbers are in AED 000

Currency	Loans	Debt Securities	Other exposures	Total Funded	Commitments	OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
						Notional Amount	Positive fair value	Credit Risk Exposure	without ccf	with ccf		
Foreign Currency	17,633,711	12,018,659	9,012,336	38,664,706	1,733,825	27,433,195	317,860	648,529	30,077,185	13,086,553	13,735,082	52,399,788
AED	81,289,088	1,235,850	12,624,162	95,149,100	1,115,582	5,118,772	62,848	115,445	31,794,233	16,468,375	16,583,820	111,732,920
Total Provisions	(3,294,783)			(3,294,783)								(3,294,783)
Total	**95,628,016**	**13,254,509**	**21,636,498**	**130,519,023**	**2,849,407**	**32,551,967**	**380,708**	**763,974**	**61,871,418**	**29,554,928**	**30,318,902**	**160,837,925**

4. (c) GROSS CREDIT EXPOSURES BY GEOGRAPHICAL DISTRIBUTION

All numbers are in AED 000

Geographical Region	Loans	Debt Securities	Other exposures	Total Funded	Commitments	OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
						Notional Amount	Positive Fair Value	Credit Risk exposure*	without ccf	with ccf		
United Arab Emirates	97,348,209	2,609,050	14,781,818	114,739,077	2,834,962	13,686,039	305,354	461,347	56,343,524	27,621,267	28,082,614	142,821,691
GCC excluding UAE	783,289	268,454	1,958,304	3,010,047	14,445	494,741	-	4,947	110,338	30,409	35,356	3,045,403
Arab League (excluding GCC)	78,176	11,293	1,084,328	1,173,797	-	-	-	-	329,348	69,011	69,011	1,242,808
Asia	361,956	85,332	140,204	587,492	-	73,411	-	734	4,182,382	1,457,518	1,458,252	2,045,744
Africa	155,588	-	1,201	156,789	-	-	-	-	29,298	14,649	14,649	171,438
North America	-	9,178,480	254,737	9,433,217	-	509,185	166	3,144	264,279	73,159	76,303	9,509,520
South America	-	-	-	0	-	-	-	-	-	-	0	0
Caribbean	91,825	-	390	92,215	-	-	-	-	-	-	0	92,215
Europe	103,756	1,101,900	3,414,071	4,619,727	-	17,788,591	75,188	293,802	611,659	288,789	582,591	5,202,318
Australia	-	-	1,445	1,445	-	-	-	-	590	126	126	1,571
Others	-	-	-	0	-	-	-	-	-	-	0	0
Total Provisions	(3,294,783)			(3,294,783)							0	(3,294,783)
Total	**95,628,016**	**13,254,509**	**21,636,498**	**130,519,023**	**2,849,407**	**32,551,967**	**380,708**	**763,974**	**61,871,418**	**29,554,928**	**30,318,902**	**160,837,925**

4. (d) GROSS CREDIT EXPOSURES BY INDUSTRY SEGMENT

All numbers are in AED 000

Economic Sector	Loans	Debt Securities	Other exposures	Total Funded	Commitments	OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
						Notional Amount	Positive Fair Value	Credit Risk exposure*	without ccf	with ccf		
Agriculture, Fishing & Related activities	292,486	-	1,663	294,149	-	18,851	-	188	693,665	400,800	400,988	695,137
Crude Oil, Gas, Mining & Quarrying	797,682	401,437	10,289	1,209,408	17,034	26,527	1,787	1,919	1,181,351	289,533	291,452	1,500,860
Manufacturing	3,374,239	-	26,833	3,401,072	356,101	215,574	4,461	6,342	4,543,148	2,343,943	2,350,285	5,751,357
Electricity & Water	-	-	-	0	-	-	-	-	-	-	0	0
Real Estate & Construction	23,284,780	752,213	164,513	24,201,506	967,003	1,653,516	69,633	86,292	28,650,829	15,376,811	15,463,103	39,664,609
Trade	3,702,956	-	23,495	3,726,451	316,848	759,566	7,487	15,546	5,085,073	2,268,280	2,283,826	6,010,277
Transport, Storage & Communication	723,250	-	3,649	726,899	21,579	-	-	-	57,763	34,456	34,456	761,355
Financial Institutions	-	1,390,747	9,765,999	11,156,746	-	-	-	-	-	-	0	11,156,746
Services	15,884,730	-	105,483	15,990,213	368,145	27,560,553	252,006	585,533	11,413,072	5,780,691	6,366,224	22,356,437
Government (including public sector)	6,800,869	10,710,112	9,332,498	26,843,479	802,697	1,528,188	40,719	55,784	9,227,513	2,042,980	2,098,764	28,942,243
Retail / Consumer Banking	33,930,541	-	269,336	34,199,877	-	-	-	-	323	323	323	34,200,200
All Others	10,131,266	-	1,932,740	12,064,006	-	789,192	4,615	12,370	1,018,681	1,017,111	1,029,481	13,093,487
Total Provisions	(3,294,783)			(3,294,783)								(3,294,783)
Total	**95,628,016**	**13,254,509**	**21,636,498**	**130,519,023**	**2,849,407**	**32,551,967**	**380,708**	**763,974**	**61,871,418**	**29,554,928**	**30,318,902**	**160,837,925**

4. (e) GROSS CREDIT EXPOSURES BY RESIDUAL CONTRACTUAL MATURITY

All numbers are in AED 000

Period	Loans	Debt Securities	Other exposures	Total Funded	Commitments	OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
						Notional Amount	Positive Fair Value	Credit Risk exposure*	without ccf	with ccf		
Less than 3 months	22,431,032	8,582,493	17,081,403	48,094,928	-	7,047,548	25,840	96,314	37,373,646	18,615,044	18,711,358	66,806,286
3 months to one year	14,319,251	2,290,864	4,555,095	21,165,210	2,849,407	3,650,489	31,274	63,916	6,032,226	2,490,543	2,554,459	23,719,669
one to five years	29,644,116	646,566	-	30,290,682	-	6,556,038	87,305	124,053	18,465,546	8,449,341	8,573,394	38,864,076
Over five years	32,528,400	1,734,586	-	34,262,986	-	15,297,892	236,289	479,691	-	-	479,691	34,742,677
Total Provisions	(3,294,783)			(3,294,783)								(3,294,783)
Grand Total	**95,628,016**	**13,254,509**	**21,636,498**	**130,519,023**	**2,849,407**	**32,551,967**	**380,708**	**763,974**	**61,871,418**	**29,554,928**	**30,318,902**	**160,837,925**

4. (f) IMPAIRED LOANS BY INDUSTRY SEGMENT

All numbers are in AED 000

Industry Segment	Overdue or Impaired			Provisions			Adjustments	
	Overdue Less than 90 days	Total Impaired Asets	Total Funded	IIS	Specific	General	Writeoffs	Write Backs
Agriculture, Fishing & Related activities	-	-	0				-	-
Crude Oil, Gas, Mining & Quarrying	0	-	0					
Manufacturing	4,513	175,466	179,979	6,197	102,221		672	
Electricity & Water	-	-	0					
Real Estate & Construction	82,661	176,497	259,158	6,968	98,170		99,632	
Trade	22,961	116,678	139,639	18,407	79,937		56,907	
Transport, Storage & Communication	3,361	83,594	86,955		20,897		17,857	
Financial Institutions	-	-	0					
Services	21,569	734,695	756,264	58,890	374,759		56,331	
Government	7	870,930	870,937	9,069			-	
Retail / Consumer Banking	1,656,393	1,181,028	2,837,421	193,864	955,029	22,880	609,321	
All Others	24,430	1,227,892	1,252,322	130,031	892,463	748,427	6,460	
Total	**1,815,895**	**4,566,780**	**6,382,675**	**423,426**	**2,523,476**	**771,307**	**847,180**	**-**
The collateral held against the past due and impaired loans totalled AED 3,066,440 thousand in the form of under lien fixed deposits, cash margins, equities, bank guarantees, machinery & equipment, mortgaged properties, motor vehicles , shipping vessels, aircrafts etc.								

4. (g) IMPAIRED LOANS BY GEOGRAPHICAL DISTRIBUTION

All numbers are in AED 000

Geographical Region	Overdue or Impaired				Provisions		Adjustments	
	Overdue Less than 90 days	Total Impaired Asets	Total Funded	IIS	Specific	General	Writeoffs Provisions	Write Backs
United Arab Emirates	1,815,895	3,892,717	5,708,612	363,964	2,099,328	771,307	799,942	-
GCC excluding UAE		549,093	549,093	53,326	341,270		25,080	
Arab League (excluding GCC)			0					
Asia		124,970	124,970	6,136	82,878		22,158	
Africa			0					
North America			0					
South America			0					
Caribbean			0					
Europe			0					
Australia			0					
Others			0					
Total	**1,815,895**	**4,566,780**	**6,382,675**	**423,426**	**2,523,476**	**771,307**	**847,180**	**0**

4. (h) RECONCILIATION OF CHANGES IN PROVISION FOR IMPAIRED LOANS FOR THE PERIOD 2010

All numbers are in AED 000

	Description	Amount
	Opening Balance of Provisions for Impaired Loans	2,529,782
Add:	Charge for the year	
	•Corporate Specific provisions	134,310
	•Corporate, Retail and International Division General provisions	1,521,923
Less :	Write-off of impaired loans	(847,180)
Less:	Recovery of loan loss provisions	-
Less:	Recovery of loans previously written-off	(17,146)
Less:	Notional Interest on Impaired Loans & Advances	(26,906)
Less:	Write-back of provisions for loans	-
	Adjustments of loan loss provisions	-
	Closing Balance of Provisions for Impaired Loans	**3,294,783**

4. (i) BASEL II PORTFOLIO AS PER STANDARDISED APPROACH

All numbers are in AED 000

ASSET CLASSES	ON BALANCE SHEET			OFF BALANCE SHEET	CREDIT RISK MITIGATION (CRM)			RISK WEIGHTED ASSETS
See Basel II, June 2006, Para 50 to 81, and Central Bank National Discretions	GROSS OUTSTANDING	Interest in Suspense and Specific Provisions	NET OUTSTANDING	NET EXPOSURE AFTER CREDIT CONVERSION FACTORS (CCF)	EXPOSURE BEFORE CRM	CRM	AFTER CRM	
CLAIMS ON SOVEREIGNS	20,250,881	0	20,250,881	1,437,763	21,688,644	267	21,688,377	156,475
CLAIMS ON NON-CENTRAL GOVERNMENT PUBLIC SECTOR ENTITIES (PSEs)	6,303,667	9,070	6,294,597	667,666	6,962,263	45,032	6,917,231	6,755,507
CLAIMS ON MULTI LATERAL DEVELOPMENT BANKS	-	0	-	-	-	-	0	-
CLAIMS ON BANKS	10,616,457	0	10,616,457	1,747,779	12,364,236	-	12,364,236	4,901,583
CLAIMS ON SECURITIES FIRMS	9,550	0	9,550	49,129	58,679	-	58,679	29,340
CLAIMS ON CORPORATES	33,358,636	314,406	33,044,230	25,896,756	58,940,986	8,818,804	50,122,182	50,242,466
CLAIMS INCLUDED IN THE REGULATORY RETAIL PORTFOLIO	21,473,951	912	21,473,039	201,964	21,675,003	2,709	21,672,294	16,984,599
CLAIMS SECURED BY RESIDENTIAL PROPERTY	11,550,135	0	11,550,135	-	11,550,135	8,343,958	3,206,177	2,860,003
CLAIMS SECURED BY COMMERCIAL REAL ESTATE	23,266,886	0	23,266,886	9,342	23,276,228	1,927,200	21,349,028	21,349,028
PAST DUE LOANS	4,110,206	2,622,512	1,487,694	-	1,487,694	286,015	1,201,679	1,222,316
HIGHER-RISK CATEGORIES	1,268,299	0	1,268,299	799,874	2,068,173	-	2,068,173	3,102,260
OTHER ASSETS	12,267,543	0	12,267,543	299,831	12,567,374	-	12,567,374	10,027,983
CLAIMS ON SECURITISED ASSETS	-	0	-	-	-	-	0	-
CREDIT DERIVATIVES (Banks Selling protection)	-	0	-	8,673	8,673	-	8,673	2,500
TOTAL CLAIMS	**144,476,211**	**2,946,900**	**141,529,311**	**31,118,777**	**172,648,088**	**19,423,985**	**153,224,103**	**117,634,060**

.CRM includes collateral in the form of cash, equities and financial guarantees

5. BASEL II PORTFOLIO AS PER STANDARDISED APPROACH (RATED / UNRATED)

All numbers are in AED 000

	ON BALANCE SHEET				OFF BALANCE SHEET			EXPOSURE BEFORE CRM			CRM	EXPOSURE AFTER CRM			RWA		
	GROSS	NET			NET EXPOSURE AFTER CREDIT CONVERSION FACTORS (CCF)												
Asset Class	**Total**	**Rated**	**Unrated**	**Total**	**Rated**	**Unrated**	**Total**	**Rated**	**Unrated**	**Total**	**Total**	**Rated**	**Unrated**	**Total**	**Rated**	**Unrated**	**Total**
Claims on Sovereigns	20,250,881	19,869,748	381,133	20,250,881	1,366,342	71,421	1,437,763	21,236,090	452,554	21,688,644	267	21,236,089	452,288	21,688,377	156,475		156,475
Claims on Public Sector Entities	6,303,667	0	6,294,598	6,294,598		667,666	667,666	0	6,962,264	6,962,264	45,032	0	6,917,232	6,917,232		6,755,507	6,755,507
Claims on Multilateral development banks				0			0	0	0	0	0	0	0	0			0
Claims on Banks	10,616,457	6,721,524	3,894,933	10,616,457	923,697	824,082	1,747,779	7,645,221	4,719,015	12,364,236	0	7,645,221	4,719,015	12,364,236	2,685,941	2,215,641	4,901,582
Claims on Securities Firms	9,550	9,550	0	9,550	49,130		49,130	58,680	0	58,680	0	58,680	0	58,680	29,340		29,340
Claims on Corporate	33,358,636	725,504	32,318,726	33,044,230		25,896,756	25,896,756	725,504	58,215,481	58,940,985	8,818,804	725,504	49,396,677	50,122,181	845,788	49,396,678	50,242,466
Regulatory & Other Retail Exposure	21,473,951		21,473,039	21,473,039		201,963	201,963	0	21,675,002	21,675,002	2,709	0	21,672,293	21,672,293		16,984,599	16,984,599
Residential Retail Exposure	11,550,135		11,550,135	11,550,135			0	0	11,550,135	11,550,135	8,343,958	0	3,206,177	3,206,177		2,860,003	2,860,003
Commercial Real Estate	23,266,886		23,266,886	23,266,886		9,342	9,342	0	23,276,228	23,276,228	1,927,200	0	21,349,028	21,349,028		21,349,028	21,349,028
Past Due Assets	4,110,206		1,487,694	1,487,694				0	1,487,694	1,487,694	286,015	0	1,201,679	1,201,679		1,222,316	1,222,316
High Risk Category	1,268,299		1,268,299	1,268,299		799,874	799,874	0	2,068,173	2,068,173	0	0	2,068,173	2,068,173		3,102,261	3,102,261
Other Assets	12,267,543	206	12,267,336	12,267,542	252,218	47,613	299,831	252,424	12,314,950	12,567,374	0	252,424	12,314,950	12,567,374		10,027,983	10,027,983
Claims on Securitised Assets				0			0	0	0	0	0	0	0	0			0
Credit Derivatives (Banks selling protection)				0	8,673		8,673	8,673	0	8,673	0	8,673	0	8,673	2,500		2,500
Grand Total	**144,476,211**	**27,326,532**	**114,202,779**	**141,529,311**	**2,600,060**	**28,518,717**	**31,118,777**	**29,926,591**	**142,721,496**	**172,648,088**	**19,423,985**	**29,926,591**	**123,297,512**	**153,224,103**	**3,720,044**	**113,914,016**	**117,634,060**

6. CREDIT RISK MITIGATION: DISCLOSURES FOR STANDARDIZED APPROACH

All numbers are in AED 000

	Quantitative Disclosures	Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	**172,648,088**	
Less:	Exposure covered by on-balance sheet netting	-	
Less:	Exposures covered by Eligible Financial Collateral	9,652,087	
Less:	Exposures covered by Guarantees	9,771,898	
Less:	Exposures covered by Credit Derivatives		
	Net Exposures after Credit Risk Mitigation	**153,224,103**	**117,634,060**

7. MARKET RISK - TOTAL CAPITAL REQUIREMENT UNDER STANDARDISED APPROACH

All numbers are in AED 000

Market Risk	Amount
Interest rate risk	94,700
Equity position risk	79,682
Foreign exchange risk	78,863
Commodity risk	
Options Risk	-
Total Capital Requirement	**253,245**

8. EQUITY POSITION IN THE BANKING BOOK

As at 31 December 2010, the Bank's total equity investment portfolio in the banking book amounted to AED 1,734 M, 14.2% of which represents quoted investments. For details of the accounting policies and valuation methodology, please refer to Note 2 to the consolidated financial statements under "Significant Accounting Policies" Details of cost, market and fair value are reported in Note 5 to the consolidated financial statements under the heading of "Non Trading investments".

All numbers are in AED 000

1. QUANTITATIVE DETAILS OF EQUITY POSITION:

Type	Current Year		Previous Year	
	Publicly Traded	Privately Held	Publicly Traded	Privately Held
Equities	246,330	80,243	214,928	125,759
Collective investment schemes		1,407,222		1,226,342
Any other investment				
Total	**246,330**	**1,487,465**	**214,928**	**1,352,101**

2. REALISED, UNREALISED AND LATENT REVALUATION GAINS (LOSSES) DURING THE YEAR:

Gains (Losses)	Amount
Realised gains (losses) from sales and liquidations	4,107
*Unrealised gains (losses) recognised in the balance sheet but not through profit and loss account	190,661
**Latent revaluation gains (losses) for investment recorded at cost but not recognised in balance sheet or profit and loss account	
Total	**194,768**

3. ITEMS IN (2) ABOVE INCLUDED IN TIER 1/TIER 2 CAPITAL:

Tier Capital	Amount
Amount included in Tier I capital	194,768
Amount included in Tier II capital	0
Total	**194,768**

4. CAPITAL REQUIREMENTS BY EQUITY GROUPINGS:

Grouping	Amount
Strategic investments	241,133
Available for sale	61,640
Held for trading	
Total capital requirement	**302,773**

9. INTEREST RATE RISK IN THE BANKING BOOK (IRRBB)

Interest rate risk arises from the possibility that changes in interest rates will affect future profitability, cash flows or the fair values of financial instruments. The Bank is exposed to interest rate risk as a result of mismatches or gaps in the amounts of assets and liabilities and off balance sheet instruments that mature or reprice in a given period. The Board of Directors has established acceptable levels of interest rate risk by setting limits on the interest rate gaps for stipulated periods. The Bank manages interest rate risk by matching the repricing of assets and liabilities through risk management strategies and monitors the positions on a daily basis to ensure they are maintained within established limits. Adherence to these limits is monitored by ALCO.

Interest rate risk is also assessed by measuring the impact of defined movements in interest yield curves on the Bank's net interest income. The following is the impact on the net interest income and regulatory capital for the year of an immediate and permanent movement in interest yield curves:

All numbers are in AED 000

Shift in Yield Curves	Net Interest Income	Regulatory Capital
+200 basis point	67,436	-
-200 basis point	(67,436)	(67,436)

The above interest rate sensitivities are illustrative only and adopt simplified scenarios. The sensitivities do not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.